

# N R AGARWAL INDUSTRIES LIMITED

17th Annual Report  
2009-2010



Waste.Redefined.



# Founder Chairman

If one personality is to be signaled out for earning N RAIL, the place that it enjoys today, its indisputably our Founder Chairman, Shri N R Agarwal. It is his vision and charismatic approach, that has taken the Company to such great heights. An iconic figure, whose success story is a source of inspiration to a number of budding entrepreneurs.

Shri N.R. Agarwal initially established a 10 TPD Kraft Paper unit in 1975 and followed with setting up of a second unit in 1979. With his expertise in the field of manufacturing duplex boards, and a vision to be a market leader in this field, he went on establishing 3 more units of this value added product and later diversified into the field of manufacturing Newsprint. It may be not an exaggeration to mention here that "N R Group" is the pioneer in manufacturing of paper products by recycling of waste paper as a major raw material input.

He is praised for his wisdom, clarity of thoughts, and Leadership Qualities which has helped in building a strong team and take one and all together on the path of

continuous growth. Not only is he a good judge of potential in his men, but also a great inspirer and motivator, who could extract great performance out of everybody. It is for this reason, that most of our employees are associated with the organization since last four decades.

He takes heart from the fact that N RAIL has always been in the forefront when it comes to applying the state of art of technology. His perception is that the massive investment that the Company is now making in its ambitious project will stand the Company in good stead and go a long way in achieving its goal of emerging as an unrivalled market force. The man who has guided the affairs and destiny of the Company, he is optimistic that the Company's new project set to take off imminently; would be able to register remarkable growth at a blistering pace.

The Company regards itself extremely fortunate for having got a leader of his stature.



A Glimpse of our new project site at Sarigam, Gujarat



## Board of Directors

Shri N R Agarwal

(Resigned wef January 29, 2010)

*Executive Chairman*

Shri R N Agarwal

(Appointed wef January 29, 2010)

*Chairman Managing Director & CEO*

Shri Raunak Agarwal

*Whole Time Director*

Shri S N Chaturvedi

*Director*

Shri P Kumar

*Director*

Shri C R Radhakrishnan

*Director*

### **Chief Financial Officer**

Shri Ramesh S Iyer

### **Company Secretary & Compliance Officer**

Ms Priyanka Agrawal

### **Auditors**

Chaturvedi & Partners

Chartered Accountants, Mumbai.

### **Bankers**

Bank of India

Bank of Baroda

Oriental Bank of Commerce

Standard Chartered Bank

IDBI Bank Limited

### **Registered Office**

415-418, Janki Centre, 4th floor, 29,

Shah Industrial Estate,

Off Veera Desai Road

Andheri (W), Mumbai-400053

### **Registrar & Transfer Agents**

Sharex Dynamic (India) Private Limited

17/B, Dena Bank Building

2nd Floor, Horniman Circle

Fort, Mumbai – 400 001

Tel. : 022-22702485/22641376



## Forward-looking statement

In this Annual Report we have disclosed forward-looking information to enable investors to comprehend our prospects and take informed investment decisions. This report and other statements – written and oral – that we periodically make contain forward-looking statements that set out anticipated results based on the management's plans and assumptions. We have tried wherever

possible to identify such statements by using words such as 'anticipate', 'estimate', 'expects', 'projects', 'intends', 'plans', 'believes', and words of similar substance in connection with any discussion of future performance.

We cannot guarantee that these forward-looking statements will be realised, although we believe we have been prudent in assumptions. The achievement of results is subject to risks, uncertainties and even

inaccurate assumptions. Should known or unknown risks or uncertainties materialise, or should underlying assumptions prove inaccurate, actual results could vary materially from those anticipated, estimated or projected. Readers should bear this in mind.

We undertake no obligation to publicly update any forward-looking statements, whether as a result of new information, future events or otherwise.

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# Letter to Shareholders

Dear Shareholders,

It's always a pleasure to talk to you- Our valued shareholder. At NRAIL, we have grown through the years, by questioning existing paradigms and by challenging assumptions. We believe in setting and working towards ambitions, long term goals. Our objective is to aggressively grow profitable revenues and maintain high growth potential, while ensuring prosperity to all our stakeholders. Our strong foundation has enabled us to maintain a revenue generating business and high growth potential.

FY 09-10 was a good year for the paper industry especially, the Duplex Board segment which witnessed a significant demand. There was an increase in the cost of the raw material and other products towards the end of FY 2009-10, but due to the constant demand, the increase could be passed on to the customers through increase in price of our products and hence the Company in terms of performance has fared extremely well. ***Coupled with the demand and our increased efficiency, the bottom line in terms of Net profit more than doubled.*** We have not only achieved the peak production of Duplex Boards and Newsprint, but, are running all our units with maximum efficiency in terms of the lowest power, steam and water consumption per tonne of Boards due to which our production costs are amongst the lowest in the Industry. Your company is self sufficient in terms of power generation, as a result of which we do not need to purchase expensive power from local electricity board. Power is generated with efficient boilers wherein the coal consumption is economically managed. During the entire paper making process, and power generation, we are continuously adhering to pollution standards to give our contribution in maintaining a healthy environment.

Our products being entirely based on 100% recycled paper, makes us contribute towards preserving our environment.

As regards, the company's expansion drive, its on a fast pace. The Company's new project of 300 TPD of Writing and Printing cum Copier Paper work is going on as per the schedule. The World's leader in machine manufacture, VOITH PAPER FIBER & ENVIRONMENTAL SOLUTIONS GMBH CO. KG. GERMANY, has been affianced for the supply of 330 TPD of De-inked Pulp Line and the technology of Drum Pulper and LEF injected flotation cells supplied by them, would give the project a competitive edge over its competitors in India.

The company already owns 95 acres of NA Land at Sarigam, Gujarat, on which the construction of the building foundation of machinery is in progress. We have been registered under the "Vibrant Gujarat Scheme" which would be very advantageous for this 300 TPD Writing Printing cum Copier paper project to be set up at Sarigam, Gujarat.

The target for the commencement of the commercial production is around March 2011.

As regards, the demand for writing printing paper, the Indian printing industry is expected to grow at a CAGR (Compounded Annual Growth Rate) of 15-18% till 2012. Recent trends show India has emerged as the outsourcing hub for printing and publishing business. Besides, the increased budgetary allocation under schemes like Sarvasiksha Abhiyaan and Secondary Education also provides necessary boost to the demand for printing and writing paper. We expect that Financial year 2010-11 would witness a substantial increase in demand of not only Duplex Boards but also Writing Printing paper varieties.



*“Successful people in this world are those who get up and look for the opportunities they want. If they can't find them, they make them”*

*-George Bernard Shaw*



**R N Agarwal**  
Chairman Managing Director & CEO

In the year marked with the challenges, your Company has achieved credible financial results.

The current year has been extremely good for your Company.

The Company has posted a Sales & Revenue of Rs. 39244 lacs as against Rs 39009 lacs for the previous financial year. Net profit rose steeply from Rs. 886 lacs to Rs. 2159 lacs. Consequently, we foresee an exciting path of steady success ahead for the company by accepting the challenges, which we may face on the road towards success. Our conviction to succeed is ever-more and the strength to achieve is from within.

While we are continuously striving to adapt the changing business environment to keep our company at the forefront, our uncompromising focus on quality, will continue to give us a competitive advantage.

Much as we pride ourselves on the increasing demand of our products, our increased production, process efficiencies, quality output, increased turnover, operational improvement, we pride ourselves on our human wealth, which the pillar to our success.

I'd like to extend my gratitude towards all our shareholders, customers, bankers and the staff for their faith in the Company and unstinted support, as always.

“Coupled with the demand and our increased efficiency, the bottom line in terms of Net profit more than doubled.”

**R N Agarwal**

Chairman Managing Director & CEO



## Building Today, For a Better Tomorrow

Ever since our inception, we at NRAIL, have believed in pushing our boundaries to achieve what we have envisioned. And we have done so through taking not the obvious step but the next one. NRAIL has been in the paper business since last four decades. All its manufacturing facilities at Vapi are at optimum capacity utilization after undergoing various process engineering and increasing capacities without incurring any major capital expenditure. To avoid saturation, it now time that NRAIL ventures into expansion.

Taking advantage of the 95 acres of Non- agricultural land, that NRAIL owns at Sarigam, Gujarat, which falls under the Vibrant Gujarat Scheme, NRAIL has decided to commission a 300 TPD Writing & Printing cum Copier Paper project thereby utilizing an area of around 50 acres, leaving the balance land for further expansion at a future date.



The said project is a “GREEN FIELD PROJECT” based on 100% recycled fiber which helps to conserve the Indian forests.

### Main Highlights of the project are

1. Procurement of High Quality De-Inking machine from Voith –Germany, equipped with an advanced technology having drum Pulper and LED Injected Flotation Cells, the first of its kind in Asia.
2. Increase in the capacity by additional 90000 tonnes p.a.
3. Diversification into a Value added Copier paper segment and Manufacture best Quality Copier Paper from recycled waste.

continued next page

It is better to be prepared for an opportunity, and not have one, than to have an opportunity and not to be prepared for it -Whitney Young.



4. Produce "A" grade Quality of Newsprint and Writing Printing (Maphlito & Cream wove paper grade)
5. Installation of 15 MW Captive Power Plant, thereby becoming self sufficient on Power requirement.

#### **Status of the project implementation**

The implementation of the project is progressing in full swing at Sarigam and the status of completion of the project work is as below:

- 80% of the Second hand paper machine being imported from France has already arrived at the site and refurbishment is in process.
- The construction of the building foundation of machinery has already started and the final target of completion of construction work is October end.
- Civil work for installation of the Power Plant has already commenced.
- All orders for de-inking, boiler and turbine which are the major equipments of this project have also been placed.

Based on the progress as on date, the installation is likely to be completed as per the targeted date of 31.03.2011 and commercial production is likely to commence by April 2011.

This project is likely to improve the top line by Rs 300 crores to Rs 350 Crores, thereby improve the bottom line.



## CSR is a Commitment



A still of sapling plantation drive conducted by NRAIL

NRAIL has been consistently working towards integration of Corporate Sustainability into the values, culture, operations and business decisions at all levels of the organization. The Company adopts a business approach that creates a long term shareholder value by embracing opportunities. At NRAIL we tend to grow without damaging prospects of future generation.

### **Environment sustainability**

The Company endeavors to improve stakeholder value through improved eco-efficiency of operations. The Company ensures safer, healthier and pleasant environment in working area as well as in community it operates into.

The Company has undertaken various initiatives in above direction which include:

1. Practicing 3R (Reduce, Reuse and Recycle) and waste management in Industrial plants.
2. Energy conservation drives by installing power saving technology on the machines in the industrial plants and procurement of energy efficient machines.

3. Water efficient treatment recovers paper fibre by reducing suspended solids in the effluent water which are reused in paper making process, thereby increasing the yield.
4. Reuse of treated water for manufacturing, gardening and other maintenance purposes.
5. Continuous up-gradation of technology

We continuously improve our environmental programs and explore inventive solutions to save our precious environment for future generations.

### **Social sustainability**

CSR is a commitment and an obligation to pay back to society for the support the Company has received. The Company has taken this responsibility earnestly and in many ways has served the cause of the people which has ensured Company's continued success.

The Company encourages plantation of trees within campus and surrounding areas and the current year's target is to plant around 10,000 trees during the year.

# Quality is not an Act, It is a Habit



Duplex Rolls



Newsprint Machine



## End use of our Duplex Boards



## NOTICE

NOTICE is hereby given that the Seventeenth Annual General Meeting of the members of N R AGARWAL INDUSTRIES LIMITED will be held at GMS Community Centre Hall, Sitladevi Complex, 1st Floor, D. N. Nagar, Opp. Indian Oil Nagar on Link Road, Andheri (West), Mumbai – 400 053 on Thursday, September 16, 2010 at 11.00 a.m. to transact the following business:

### ORDINARY BUSINESS:

1. To receive, consider and adopt the Audited Balance Sheet as at 31st March 2010 and the Profit and Loss Account for the year ended on that date and the Reports of the Board of Directors and Auditors thereon.
2. To declare dividend on Equity Shares.
3. To appoint a Director in place of Shri. P Kumar, who retires by rotation and being eligible offers himself for re-appointment.
4. To appoint Auditors and to fix their remuneration.

### SPECIAL BUSINESS:

5. To consider and if thought fit, to pass with or without modifications, the following resolution as a Special Resolution:

**“RESOLVED THAT** pursuant to the provisions of Sections 198, 269, 309, Schedule XIII and other applicable provisions, of the Companies Act, 1956 and subject to such other approvals as may be necessary, the company hereby approves the appointment of Shri Rajendra Nagin Agarwal as the Managing Director of the Company for a period of five years with effect from August 1, 2010 upon the terms and conditions including the terms as to remuneration as set out in the Agreement dated July 29, 2010 entered into between the company and Shri Rajendra Nagin Agarwal and approved by the remuneration committee, which agreement as placed before this meeting be and is hereby specifically approved with liberty to the Board of Directors of the company to alter or vary and modify the terms and conditions of the said appointment and/or the agreement so as not to exceed the limits specified in Schedule XIII of the Companies Act, 1956 or any amendment thereto as may be agreed to between the Board and Shri Rajendra Nagin Agarwal.

**RESOLVED FURTHER THAT** subject to the provisions of section 198 and section 309 and other applicable provisions, if any, of the Act, the remuneration payable to Shri Rajendra Nagin Agarwal as Managing Director by way of salary, commission and perquisites shall not exceed five percent of the net profits of the Company for one such Director and if there are more than one such Director, ten percent of such net profits for all of them together in that financial year.

**RESOLVED FURTHER THAT** in the event of loss or inadequacy of profits in any financial year of the Company during Shri Rajendra Nagin Agarwal's term of office as Managing Director the remuneration including all other benefits and perquisites set out in the said agreement shall be payable to him as minimum remuneration subject to the limits prescribed in Schedule XIII of the Act and that he shall be entitled to all other benefits and perquisites set out in the said agreement as the minimum remuneration.

**RESOLVED FURTHER THAT** the Board be and is hereby authorised to do all such acts, matters, deeds and things and to take such steps may be as expedient or desirable to give effect to this Resolution”.

### NOTES:

1. **A MEMBER ENTITLED TO ATTEND AND VOTE AT THE MEETING, IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE, INSTEAD OF HIMSELF AND A PROXY NEED NOT BE A MEMBER OF THE COMPANY.**
2. The instrument of proxy for use at the meeting must be lodged at the Registered Office of the Company, not less than forty eight hours before the commencement of the meeting.
3. The Explanatory Statement pursuant to Section 173 of the Companies Act, 1956 in respect of the business at item nos 5 is annexed hereto.
4. The Register of Members and Share Transfer Books of the Company will remain closed from Thursday, September 9, 2010 to Thursday, September 16, 2010 (both days inclusive).
5. The dividend on equity shares, if declared at the meeting, will be paid on or after September 16, 2010 to those members whose names appear on Register of Members on September 16, 2010. In respect of equity shares held in electronic form, the dividend will be payable

## **N R AGARWAL INDUSTRIES LIMITED**

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to the Beneficial Owners of shares as at the end of business hours on September 8, 2010 as per the details furnished by the Depositories for this purpose.

6. Members are requested to immediately notify the Company in case of any change in address and should specify their full address in capital letters clearly indicating the pincode of the post office.
7. **Shareholders holding shares in physical form are requested to get their shares dematerialised.**
8. Members are requested to avail the facility of remittance of dividend through the National Electronic Clearing Systems (NECS). The NECS facility is available at locations identified by Reserve Bank of India from time to time. Members holding shares in physical form and desirous of availing this facility are requested to immediately write to the Company's Registrars and Transfer Agents with changes in their bank account/ accounts numbers, if any, along with a photocopy of a blank cheque pertaining to the concerned account. Members holding shares electronically are requested to intimate all changes pertaining to their bank account, etc. to their depository participants only and not to the Company's Registrars and Transfer Agents.

**By order of the Board of Directors**

**Priyanka Agrawal**  
Company Secretary

**Registered Office:**

415-418, Janki Centre  
4th Floor, 29, Shah Industrial Estate  
Off: Veera Desai Road  
Andheri (West),  
Mumbai – 400 053

Dated: July 29, 2010

## **ANNEXURE TO NOTICE**

**Explanatory statement under Section 173 of the Companies Act, 1956.**

### **Item Nos. 5**

The Board of Directors of the company at its meeting held on July 29, 2010 had appointed Shri Rajendra Nagin Agarwal as the Managing Director of the Company for a period of five years with effect from August 1, 2010 on the remuneration and terms and conditions as contained in the Agreement dated 29.07.2010 entered into between the company and Shri Rajendra Nagin Agarwal. The terms of his appointment as contained in the said Agreement dated July 29, 2010 for his appointment as Managing Director are as under:

- 1) Appointment of Shri Rajendra Nagin Agarwal as Managing Director for a period of five years with effect from August 1, 2010.
- 2) Remuneration:
  - a) Salary: Rs. 5,00,000/- per month with the power to the Board of Directors to increase from time to time upto Rs 10 Lacs
  - b) Commission: Commission on Net profits of the Company computed in the manner laid down in Section 349 of the Companies Act, 1956 as may be fixed by the Board subject to the ceiling limits laid down in Sections 198 and 309 of the Companies Act, 1956.
  - c) Perquisites: In addition to the aforesaid Salary and commission the Managing Director shall be entitled to the following perquisites:
    - i) Free Furnished residential accommodation or House Rent Allowance together with utilities, therefore such as gas, electricity, water, furnishings, repairs, servants salaries, society charges and property taxes as may be approved by the Board.
    - ii) Reimbursement of medical Expenses incurred for self and family and medical/accident insurance.
    - iii) Leave Travel concession for self and family once in a year in accordance with the rules of the Company or as may be agreed to by the Board of Directors.
    - iv) Fees of clubs/ annual membership fees for professional bodies.

The above perquisites shall be evaluated as per the Income tax Rules wherever applicable. In the absence of such rules, perquisites will be evaluated at actual costs.

Where in any financial year during the currency of the tenure of the Managing Director, the Company has made no profits or its profits are inadequate, the Company shall pay to the Managing Director, the above Salary and perquisites except commission not exceeding the ceiling limits prescribed in Schedule XIII of the Companies Act, 1956 as Minimum Remuneration.

- d) The Managing Director shall also be entitled to the following perquisites which shall not be included in the computation of the ceiling on remuneration specified herein above:
  - i) Contribution to Provident Fund, Superannuation Fund or Annuity Fund to the extent these either singly or put together are not taxable under the Income tax Act, 1961.
  - ii) Gratuity payable at the rate not exceeding half a month's Salary for each completed year of service.
  - iii) Earned privilege leave at the rate of one month's leave for every eleven months of service. The Managing Director shall be entitled to encash leave at the end of his tenure as Managing Director.
  - iv) Provision for Car for Company's business and Telephone at the residence of the Managing Director shall not be treated as perquisites.

### **Other terms:**

- 1) The Managing Director shall unless prevented by ill health, through out the said term devote his attention and ability to the business of the Company and shall perform such duties and exercise such power as shall from time to time be assigned to or vested in him by the Board of Directors, and shall comply with the orders, directions and regulations from time to time of the Board of Directors of the Company and shall well and faithfully serve the company and use his utmost endeavor to promote the interest thereof.

- 2) The Managing Director shall be entitled at any time to resign office as Managing Director after giving the Company Ninety days notice or by such period agreed to by Board of Directors in that behalf and subject to any provisions of the Act in that behalf.

Shri Rajendra Nagin Agarwal is concerned or interested in the Resolution at item no. 5 of the accompanying notice as it relates to his own appointment. Shri Raunak Agarwal is also interested or concerned in the said resolution as the relative of Shri Rajendra Nagin Agarwal.

The above should be considered as an abstract of the terms of appointment of the Managing Director and Memorandum as to the nature of concern or interest of the Directors in the said appointment as required under section 302 of the Companies Act, 1956.

A copy of the Agreement dated July 29, 2010 for the appointment of Shri Rajendra Nagin Agarwal is open for inspection by the members at the Registered Office of the Company between 11.00 a.m. to 1.00 p.m. on any working day of the Company except Saturday and Sunday.

**By order of the Board of Directors**

**Priyanka Agrawal**  
Company Secretary

**Registered Office:**

415-418, Janki Centre  
4th Floor, 29, Shah Industrial Estate  
Off: Veera Desai Road  
Andheri (West),  
Mumbai – 400 053

Dated: July 29, 2010

## DIRECTORS' REPORT

To the Members,

Your Directors have pleasure in submitting their Seventeenth Annual Report along with the Audited Annual Accounts for the year ended on 31st March, 2010.

### FINANCIAL RESULTS:

(Rs. in Lakhs)

| Particulars                                                         | Year ended<br>31.03.2010 | Year ended<br>31.03.2009 |
|---------------------------------------------------------------------|--------------------------|--------------------------|
| Net Sales / Income from Operations and other income                 | <b>39244.02</b>          | <b>39009.96</b>          |
| Interest                                                            | <b>861.38</b>            | <b>1008.05</b>           |
| Gross Profit after Interest but<br>Before Depreciation and Taxation | <b>2857.17</b>           | <b>1741.76</b>           |
| Depreciation                                                        | <b>808.53</b>            | 809.70                   |
| Profit before Tax and exceptional items                             | 2048.63                  | 932.06                   |
| Exceptional Item                                                    | 761.80                   | 250.00                   |
| Profit before Tax and after exceptional items                       | 2048.64                  | 1182.06                  |
| Provisions for Taxation                                             | 715.00                   | 246.33                   |
| M Vat Entitlement                                                   | -                        | -                        |
| Deferred Tax                                                        | -                        | <b>40.16</b>             |
| Fringe Benefit Tax                                                  | -                        | <b>5.00</b>              |
| Prior year Adjustments                                              | <b>63.37</b>             | <b>(4.20)</b>            |
| Net Profit for the year                                             | <b>2158.81</b>           | <b>886.37</b>            |
| Balance in Profit & Loss Account                                    | <b>2858.68</b>           | <b>2196.43</b>           |
| Surplus available for appropriation                                 | <b>5017.49</b>           | <b>3082.79</b>           |
| Transferred to General Reserve                                      | <b>158.00</b>            | <b>25.00</b>             |
| Capital Redemption Reserve                                          | -                        | -                        |
| Proposed Dividend                                                   | <b>306.34</b>            | <b>170.19</b>            |
| Proposed Dividend on Preference Shares                              | -                        | -                        |
| Tax on Dividend                                                     | <b>52.06</b>             | <b>28.92</b>             |

### DIVIDEND:

The Board of Directors of the Company recommend for declaration by the Shareholders at the Annual General Meeting payment of a dividend of 18% (Rs 1.80 per equity share) on 1,70,19,100 equity shares of the face value of Rs.10/- each.

### YEAR IN RETROSPECT:

During the current year the company achieved a production of 126059 MT of Duplex Board and 31972 MT of Newsprint and Writing Printing Paper as against 120602 tones and 32997 tones for the previous year. The Duplex Board production & Newsprint and Writing printing paper production has grown by around 6%.

The Turnover for the financial year under review were Rs 38855 Lacs as against Rs 38670 lacs for the previous financial year. As compared to the previous year, there has been a substantial increase in the Net Profit, mainly due to reduction in input costs and improved Sales realization.

During the year, the Company exported Duplex Board and realized Rs 511 Lacs, as compared to Rs 1306 lacs, during the year.

# **N R AGARWAL INDUSTRIES LIMITED**

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## **CURRENT YEAR'S PROSPECTS:**

The production of Duplex Board and Newsprints during the first quarter was 32015 MT and 8018 MT respectively as against 30698 MT of Duplex Board and 7272 MT of Newsprints in the corresponding quarter of the previous year.

During the first quarter of the current year the company achieved a turnover of around Rs. 117 Crores as against Rs 88 Crores in the corresponding Quarter of the previous year and the net profit of around Rs 6.94 crores as against Rs.4.20 crores of the corresponding quarter of the previous year.

The company exported 1505 MT, thereby fetching revenue of Rs 452 Lacs during the first quarter of the current year as against 95 MT fetching revenue of mere Rs 24.35 Lacs in the corresponding quarter of the previous year.

## **FIXED DEPOSITS:**

As on 31st March, 2010 no fixed deposit was due and unpaid.

## **COST AUDIT:**

As per the Government's directive, the Company's cost records in respect of Paper products of the Company for the year ended 31st March, 2010 are being audited by the Cost Auditor M/s. N Ritesh & Associates, Cost Accountants, who were appointed by the Board with the approval of the Central Government.

## **DIRECTORS:**

Shri P Kumar would retire by rotation at the ensuing Annual General Meeting of the Company and is eligible for reappointment.

Shri Rajendra Nagin Agarwal has been appointed as Managing Director by the Board with effect from 1st August, 2010. Necessary resolutions for approval of the Appointment and remuneration payable to Shri Rajendra Nagin Agarwal is being proposed for approval by the shareholders at the ensuing Annual General Meeting of the Company.

Brief resume of the above Directors, nature of their experience in specific functional areas and names of the companies in which they hold Directorship and Membership/Chairmanship of Committees of the Board, as stipulated under clause 49 of the Listing Agreement with the Stock Exchange are given in the section on Corporate Governance in the Annual Report.

## **DISCLOSURE UNDER SECTION 217(1)(e) OF THE COMPANIES ACT, 1956:**

As required under Section 217(1)(e) of the Companies Act, 1956 read with the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988, the information relating to conservation of energy, technology absorption and foreign exchange earnings and outgo is given in Annexure-I forming part of this report.

## **PARTICULARS OF EMPLOYEES:**

Information in accordance with the provisions of Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975 as amended regarding employees is given below.

| <b>Sr. No.</b> | <b>Name</b>        | <b>Age</b> | <b>Designation</b> | <b>Gross Remuneration</b> | <b>Net Remuneration</b> | <b>Qualifications</b> | <b>Total Experience</b> | <b>Date of Commencement of Employment</b> | <b>Last Employment</b> |
|----------------|--------------------|------------|--------------------|---------------------------|-------------------------|-----------------------|-------------------------|-------------------------------------------|------------------------|
| 1.             | Shri R N Agarwal   | 50         | *Chairman MD & CEO | 44,50,000                 | 28,28,631               | BE- Electrical, MBA   | 21                      | Since Incorporation                       | -                      |
| 2.             | **Shri N R Agarwal | 78         | Executive Chairman | 25,50,000                 | 18,12,390               | Chemical Engineer     | 41                      | Since Incorporation                       | -                      |

\* Appointed as Chairman wef January 29, 2010

\*\* Resigned w.e.f. 29th January, 2010

## **DIRECTORS RESPONSIBILITY STATEMENT:**

The Directors confirm:

- that in the preparation of the annual accounts, the applicable accounting standards have been followed and that no material departures have been made from the same;
- that the accounting policies selected and applied are consistent and judgments and estimates made are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit of the Company for that period;

- c) that proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956, for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) that the annual accounts have been prepared on a going concern basis;

**AUDITORS AND AUDIT REPORT:**

M/s. Chaturvedi & Partners, Chartered Accountants, the Auditors of the Company retire at the ensuing Annual General Meeting and are eligible for reappointment as auditors to hold office until the conclusion of the next Annual General Meeting of the Company.

As regards the observations made by the Auditors in point no. 4 of their report, the excess provision written back pertaining to gratuity and leave encashment is mainly due to change in the actuarial assumptions.

**LISTING:**

The Equity shares of the Company are listed with the Bombay Stock Exchange Limited. The Company has paid Annual Listing Fee to the Bombay Stock Exchange Limited for the year 2010-11.

**CORPORATE GOVERNANCE**

Pursuant to Clause 49 of the Listing Agreement with the Stock Exchange, Reports on Corporate Governance alongwith a certificate from the Auditors are attached hereto and form part of this report.

**MANAGEMENT DISCUSSION AND ANALYSIS REPORT:**

Management Discussion & Analysis Report for the year under review, as stipulated under Clause 49 of the Listing Agreement with the Stock Exchange, is presented in a separate section forming a part of the Annual Report.

**INDUSTRIAL RELATIONS:**

The Employer - Employee relations were cordial throughout the year under review.

**ACKNOWLEDGEMENT:**

The Board wishes to record its deep appreciation for the exemplary contribution made by the employees at all levels. The Board also acknowledges the continued support received from Financial Institutions, Banks and various Central and State Government Agencies, shareholders, suppliers, dealers and valued customers.

**For and on behalf of the Board of Directors**

**R. N. Agarwal**

Chairman Managing Director & CEO

Mumbai

Dated: 29.07.2010

## **ANNEXURE - I**

**INFORMATION REQUIRED UNDER SECTION 217(1)(e) READ WITH THE COMPANIES (DISCLOSURE OF PARTICULARS IN THE REPORT OF BOARD OF DIRECTORS) RULES, 1988, AND FORMING PART OF THE DIRECTOR'S REPORT FOR THE YEAR ENDED 31ST MARCH, 2010.**

**I) CONSERVATION OF ENERGY:**

ENERGY CONSERVATION MEASURE TAKEN IN NEWSPRINT UNIT AND DUPLEX COATED PAPER BOARD UNITS

**A) Newsprint manufacturing Unit.**

1. The installation of ceramic tops at our vacuum boxes in wire part has helped in reduction of friction, which has resulted in improving efficiency of the machine thereby achieving substantial power saving per metric ton of finished product.

- 2) The replacement of de-caners with sludge press has resulted in significant savings in power. By installing two back water street, one for Paper Machine and another for Pulp Mill, we have been able to achieve considerable savings of fresh water consumption. Further, it has also resulted in improving the efficiency of the machine and thereby resulting in consumption of lower power. It has also contributed to the improvement in quality of the paper. We are now saving fresh water upto 3.0KL per ton of machine production by re-circulating the more used water in close cycle.
- 3) We have replaced energy efficient squirrel induction motors in place of old re-winding motors.
- 4) In our DIP Street, wherever variable speed is desirable, we have installed 5 nos of AC VFDs and we are getting satisfactory power saving in this street. Further we have installed wind driven turbo air ventilator in place of electrical exhauster fans in our Machine hall, Turbine house and Waste paper godowns and thereby achieving saving in electricity.

The Power consumption has considerably improved as compared to the previous norms or as compared to the previous consumption and the present norms is better. This improvement will continue in future by adopting newly introduced technology in this field. Today, we have the capability of producing two types of paper product, one writing printing and the other newsprint that too of various grades at a lower steam and lower power consumption and consistent improvement year after year.

## B) Duplex coated paperboard Units.

- 1) We have installed a new street in our ETP section and recycling of used water which helps not only in reducing the usage of water but also to maintain the statutory norms of the drainage water for a healthy environmental condition.
- 2) We have re-arranged all paper machine drives for uniform power distribution to all sections of the paper machine by putting the helper drives for slashing the power loss at the time of power transmission and we are getting good results.
- 3) We have installed one additional Former of BLACK CLAWSON (UK), in the wet section of our paper machine and thereby improving the production of all GSMs, which has resulted in increase in production.
- 4) We have installed a Sheet Cutter of make 'PASABAN' Spain, for sheet cutting. This world class technology has helped in lowering our power consumption with high quality of cutting and reduce wastage, thereby improving realization.
- 5) We have modified our steam and condensate lines thereby reducing the steam loss.
- 6) We are continuing to harvest water thereby saving water.

### 1) Power & fuel consumption:

| a)                                                                       | Electricity:                        | Unit         | Current Year | Previous Year |
|--------------------------------------------------------------------------|-------------------------------------|--------------|--------------|---------------|
| i)                                                                       | Purchased Units                     | Lakh/KWH     | 15,579,515   | 12,002,760    |
|                                                                          | Total amount                        | Rs. in lakhs | 982.13       | 778.15        |
|                                                                          | Rate / Unit                         | Rs.          | 6.30         | 6.48          |
| ii)                                                                      | Own Generation                      |              |              |               |
| (i)                                                                      | Through Diesel Generator            |              |              |               |
|                                                                          | Units                               | KWH          | N.A.         | N.A.          |
|                                                                          | Qty.                                | Kilo Ltrs.   |              |               |
|                                                                          | Total Cost                          | Rs.in lacs   |              |               |
|                                                                          | Units per Ltr. of Furnace Oil & LDO |              |              |               |
|                                                                          | Average Cost/Unit                   | Rs./KWH      |              |               |
| (ii)                                                                     | Through Steam Turbine               |              |              |               |
|                                                                          | Units                               | KWH          | 62,970,141   | 64,221,960    |
|                                                                          | Units per tonne of coal             | KWH          | 1067         | 1053          |
|                                                                          | Average Cost/Unit                   | Rs./KWH      | 2.16         | 2.51          |
| b)                                                                       | Coal and Lignite                    |              |              |               |
|                                                                          | Quantity                            | Tonnes       | 130654       | 135542        |
|                                                                          | Total amount                        | Rs.in lakhs  | 3982.73      | 4676.56       |
|                                                                          | Average Rate/Ton                    | Rs.          | 3048         | 3450          |
| (The Company uses 'B' & 'C' grade coal in it's Boiler and Steam Turbine) |                                     |              |              |               |

**2) Consumption per tonne of production:**

|             |      |     |     |
|-------------|------|-----|-----|
| Electricity | KWH  | 99  | 78  |
| Coal        | Kgs. | 827 | 882 |
| Furnace Oil | Ltr. | NA  | NA  |
| L.D.O.      | Ltr. | NA  | NA  |

**II) TECHNOLOGY ABSORPTION:**

The Company does not require any technology for its existing business.

**III) FOREIGN EXCHANGE EARNINGS & OUTGO:**

Foreign Exchange Outgo : Rs.8269.90 Lacs

Foreign Exchange Earnings : Rs. 438.85 Lacs

For and on behalf of the Board of Directors

**R. N. Agarwal**

Chairman Managing Director & CEO

Mumbai

Dated: 29.07.2010

## Report on CORPORATE GOVERNANCE

Corporate Governance is about commitment to values and ethical business conduct. It is also about how an organisation is managed viz., its corporate and business structures, its culture, policies and the manner in which it deals with various stakeholders. Timely and accurate disclosure of information regarding the financial position of the company, its performance and ownership forms part of the corporate governance.

### 1. COMPANY'S PHILOSOPHY ON CODE OF GOVERNANCE:

N R Agarwal Industries Limited (NRAIL) continues to uphold its commitment to high standards of corporate governance. In all its operations and processes, the Company adheres to stringent governance norms so that its stakeholders are ensured of superior financial performance.

Through its corporate governance measures, the Company aims to maintain transparency in its financial reporting and keep all its stakeholders informed about its policies, performance and developments. NRAIL will contribute to sustain and strengthen stakeholder's confidence by adopting and continuously improving good corporate practices.

Your Company's Board has laid down identifiable policies and guidelines related to the key elements of corporate governance-transparency, disclosure, supervision and internal control, risk management, internal and external communications, high standard of safety, accounting fidelity, product and service quality. It has also introduced adequate review processes.

### 2. BOARD OF DIRECTORS:

The Board of Directors of the Company consists of persons with considerable professional expertise and experience in business and industry, finance, management, and marketing. The Board of Directors of the Company is entrusted with the task of managing the Company directly or through delegation of authority either partly or totally as may be found appropriate and reasonable to the Board (within the legal frame work of the Company).

The present strength of Board of Directors of the Company is Five Directors.

Composition and category of Directors is as follows:

| Name of Director       | Category                                              | No. of Board Meetings attended | Attendance at the last AGM | Directorship in other Companies including private companies in India | No. of Committees in which Chairman/ Member (other than N R Agarwal Industries Ltd) |          |
|------------------------|-------------------------------------------------------|--------------------------------|----------------------------|----------------------------------------------------------------------|-------------------------------------------------------------------------------------|----------|
|                        |                                                       |                                |                            |                                                                      | Member                                                                              | Chairman |
| *Shri. N R Agarwal     | Executive Chairman<br>Non-Independent                 | 0                              | Not Attended               | 4                                                                    | –                                                                                   | –        |
| **Shri. R N Agarwal    | Chairman & Managing Director & CEO<br>Non-Independent | 5                              | Attended                   | –                                                                    | –                                                                                   | –        |
| Shri. S N Chaturvedi   | Non-Executive Independent                             | 5                              | Attended                   | 6                                                                    | 2                                                                                   | –        |
| Shri P. Kumar          | Non-Executive Independent                             | 5                              | Attended                   | 1                                                                    | 1                                                                                   | 3        |
| Shri C R Radhakrishnan | Non-Executive Independent                             | 5                              | Not Attended               | –                                                                    | –                                                                                   | –        |
| ***Shri Raunak Agarwal | Wholetime Director<br>Non-Independent                 | 4                              | Attended                   | –                                                                    | –                                                                                   | –        |

\*Resigned w.e.f January 29, 2010

\*\* Effective from January 29, 2010

\*\*\* Appointed as Wholetime Director w.e.f September 1, 2009

None of the Non-Executive Directors of the Company hold any Equity Shares in the Company. Shri Raunak Agarwal is the son of Shri R N Agarwal and Shri R N Agarwal is the son of Shri N R Agarwal and hence they are related to each other.

Shri Raunak Agarwal is the son of Shri R N Agarwal and Shri R N Agarwal is the son of Shri N R Agarwal and hence they are related to each other.

The independent directors are not related to promoters or management at the board level. They review at every board meeting legal compliance reports prepared by the company.

Number of Board Meetings held and the dates on which held:

Five Board Meetings were held during the year 2009-10. The dates on which the said meetings were held are as follows:

29.04.2009, 28.07.2009, 20.08.2009, 26.10.2009 and 29.01.2010.

The Company has a process to provide the information to the Board as required under Annexure I A to clause 49 of the listing agreement, which was followed.

All the directors have made necessary disclosures about the committee positions, they occupy in other companies.

The company has not entered into any materially significant transactions during the year under report with promoters, directors, senior management personnel etc. other than transactions if any, entered into in the normal course of company's business.

Information required under clause 49 VI G of the Listing Agreement:

The particulars of Directors who are proposed to be appointed/ re-appointed at the ensuing Annual General Meeting, are given below, as required pursuant to clause 49 of the Listing Agreement:

|                                                                                  |                             |                                |
|----------------------------------------------------------------------------------|-----------------------------|--------------------------------|
| Name of the Director                                                             | Shri Rajendra Nagin Agarwal | Shri P Kumar                   |
| Qualification                                                                    | B E Electrical, MBA (USA)   | MA, CAIIB                      |
| Expertise                                                                        | Industrialist               | Management Consultant          |
| Name of other companies in which holds directorship                              | Nil                         | Banswara Syntex Limited        |
| Name of other companies in which holds membership of the committees of the Board | Nil                         | Membership in three committees |
| No of shares held in the Company                                                 | 7922030                     | Nil                            |

### **3. CODE OF CONDUCT:**

The Board has laid down a code of conduct for Board members and senior management personnel of the company. The said code of conduct is posted on the Company's website. The board members and senior management personnel have affirmed compliance with the said code of conduct. A certificate to this effect given by Shri R. N. Agarwal, Chairman Managing Director & CEO of the company is attached to this report.

### **4. AUDIT COMMITTEE:**

The Audit Committee comprises of three Qualified, Independent & Non-Executive Directors. The terms of reference to the Audit Committee cover the matters specified under Clause 49 of the Listing Agreement as well as in Section 292 A of the Companies Act, 1956 such as oversight of the company's financial reporting process; recommending the appointment / reappointment of statutory auditors; reviewing with the management annual financial statements; quarterly financial statements and other matters as covered under role of audit committee in clause 49. The audit committee has powers, inter-alia, to investigate any activity within its terms of reference and to seek information from any employee of the company as well as seek outside legal and professional advice.

The members of audit committee have knowledge on financial matters and majority of them have accounting or related financial management expertise. The Chairman of the audit committee is an independent director.

The statutory auditors, Internal Auditors and finance personnel are invitees to the meetings of the audit committee.

The audit committee reviews all the information that is required to be mandatorily reviewed by it under Corporate Governance.

The Company Secretary acts as a Secretary to the Committee.

Five Meetings of the Committee were held during the year 2009-10. The dates on which the meetings were held are as follows:

29.04.2009, 28.07.2009, 20.08.2009, 26.10.2009 and 29.01.2010.

Composition and category of Members is as follows:

| Name of Director          | Category             | No. of Meetings Attended |
|---------------------------|----------------------|--------------------------|
| Shri P. Kumar             | Chairman-Independent | 5                        |
| Shri S.N.Chaturvedi       | Independent          | 5                        |
| Shri. C. R. Radhakrishnan | Independent          | 5                        |

The Chairman of the Audit committee was present at the 16th AGM held on September 26, 2009

#### 5. SUBSIDIARY COMPANY:

The Company has no subsidiary company.

#### 6. REMUNERATION COMMITTEE:

The Remuneration Committee comprises of three directors all of whom are Non-Executive, Independent Directors

|                        |          |                              |
|------------------------|----------|------------------------------|
| Shri P Kumar           | Chairman | - Independent, Non Executive |
| Shri S. N. Chaturvedi  | Member   | - Independent, Non Executive |
| Shri C.R.Radhakrishnan | Member   | - Independent, Non Executive |

The remuneration committee deals with the matters specified in clause 49 of the listing agreement and also reviews the overall compensation structure and policies of the company.

Presently, the Company does not have any stock option plan or performance linked incentives for its Directors.

A meeting of the Committee was held on 20.08.2009.

The details of remuneration to all the Directors for the year ended March 31, 2010 are as under:

| Name of Director                   | Salary (Rs.) | Benefits (Rs.) | Commission (Rs.) | Sitting fees (Rs.) | Total     |
|------------------------------------|--------------|----------------|------------------|--------------------|-----------|
| Shri N R Agarwal (Upto 29.01.2010) | 25,00,000    | 50000          | -                | -                  | 25,50,000 |
| Shri R N Agarwal                   | 42,50,000    | 700000         | -                | -                  | 49,50,000 |
| Shri S N Chaturvedi                | --           | --             | --               | 65,000             | 65,000    |
| Shri P Kumar                       | --           | --             | --               | 65,000             | 65,000    |
| Shri C R Radhakrishnan             | --           | --             | --               | 53,000             | 53,000    |
| Shri Raunak Agarwal                | **3,50,000   | -              | -                | *10000             | 3,60,000  |

\* Upto 31.08.2009

\*\* Effective from 01.09.2009

#### 7. SHAREHOLDERS' / INVESTORS' GRIEVANCE COMMITTEE:

The shareholders' / Investors' Grievance Committee comprises of

|                     |                                               |
|---------------------|-----------------------------------------------|
| Shri P.Kumar        | Chairman, Non Executive, Independent Director |
| Shri S N Chaturvedi | Member, Non- Executive, Independent Director  |
| *Shri N R Agarwal   | Member                                        |
| **Shri R N Agarwal  | Member                                        |

\* Resigned as a Director w.e.f January 29, 2010

\*\* Effective from January 29, 2010

The committee deals with matters relating to:

- Review of shares dematerialized and all other matters.
- Investors' grievances and redressal mechanism and measures to improve the level of investor services.
- Review of queries received from investors.

Two meetings of the Committee were held during the year 2009-10. The dates on which the meetings were held are as follows:

28.07.2009 and 29.01.2010.

Number of Meetings attended by each Member is as follows:

| Name of Director     | Category        | No. of Meetings Attended |
|----------------------|-----------------|--------------------------|
| Shri. P. Kumar       | Independent     | 2                        |
| Shri. S N Chaturvedi | Independent     | 2                        |
| *Shri. N R Agarwal   | Non Independent | 0                        |
| **Shri R N Agarwal   | Non Independent | 1                        |

\* Resigned as a Director w.e.f January 29, 2010

\*\* Effective from January 29, 2010

The Company Secretary has been designated as the Compliance Officer.

The Shareholders / Investor grievance committee has delegated the power of approving transfer / transmission of shares to share transfer committee which met on fortnightly basis during the year 2009-10. (also see para 11.8)

The total number of complaints received and replied to the satisfaction of shareholders during the year under review, were NIL. Outstanding complaints as on 31st March, 2010 were Nil. No requests for transfers were pending for approval as on 31st March, 2010.

## 8. GENERAL BODY MEETINGS:

Location and time of last three Annual General Meetings:

| Year    | Venue                                                                                  | Day, Date                         | Time       | Special resolution, if any                                                                                                                                                                                  |
|---------|----------------------------------------------------------------------------------------|-----------------------------------|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2006-07 | GMS Community centre, Hall, Sitladevi Complex, D.N.Nagar, Andheri (W), Mumbai-400053   | Saturday<br>September<br>29,2007  | 11.00 a.m. | Approval of the revision in the remuneration to the Executive Chairman, Shri N R Agarwal and Managing Director Shri R N Agarwal and approval to Mrs Reena Agarwal for holding an office or place of profit. |
| 2007-08 | GMS Community centre, Hall, Sitladevi Complex, D. N. Nagar, Andheri (W), Mumbai-400053 | Thursday<br>September 11,<br>2008 | 11.00 a.m. | —                                                                                                                                                                                                           |
| 2008-09 | GMS Community centre, Hall, Sitladevi Complex, D.N.Nagar, Andheri (w), Mumbai-400053   | September 26,<br>2009             | 11.00 a.m. | Approval of the appointment of Shri Raunak Agarwal as Wholetime Director and payment of remuneration thereof and Approval for further issue of shares upto Rs 200 Crores.                                   |

### Postal ballot:

There was no special resolution passed through postal ballot in the last year. At the ensuing Annual General Meeting, there is no item on the agenda that needs approval by postal ballot.

## 9. DISCLOSURES:

### A) Related Party Transactions:

There were no transactions of Material nature with related parties i.e. with its promoters, directors or the management, their subsidiaries or relatives etc. that may have potential conflict with the interest of the company at large. The transactions with related parties as per Accounting Standard AS-18, are set out in notes to accounts in the Annual Report and were placed before the Audit Committee periodically.

### B) Risk Management:

The Board of Directors have been informed from time to time the business risks faced by the Company and the steps taken by the management to face them.

### C) Proceeds from Initial Public Offerings (IPOs):

The Company has not made any IPO during the year.

**D) Management**

The management discussion and analysis report forms part of this annual report.

The Company has complied with the requirements of regulatory authorities on matters related to capital markets and no penalties/strictures have been imposed against the Company during the last three years.

Clause 49 of the Listing Agreement mandates to obtain a certificate from either the Auditors or Practising Company Secretaries regarding compliance of conditions of corporate governance stipulated in the clause and annex the certificate with the Directors' Report, which is sent annually to all the Shareholders. The Company has obtained a certificate from the Auditors of the company to this effect and the same is given as an annexure to Directors' Report.

The company has not framed whistle blower policy. However, no personnel has been denied access to the audit committee.

The company has not adopted non-mandatory requirements of clause 49. However the particulars relating to remuneration committee are given in this report.

**CEO/CFO Certification:**

A certificate from the Managing Director & CEO and Chief Financial Officer of the company in terms of clause 49 V of the Listing agreement was placed before the Board at the Board meeting held on July 29, 2010 to approve the audited annual accounts for the year ended 31st March 2010.

**10. MEANS OF COMMUNICATION:**

The half-yearly and quarterly results are regularly submitted to the Stock Exchange in accordance with the Listing Agreement and are published in newspapers like The Financial Express and Lakhshadeep. These are not sent individually to the shareholders.

The Corporate Filing and Dissemination System (CFDS) portal jointly owned, managed and maintained by BSE and NSE is a single source to view information filed by Listed Companies. All disclosures and communications to BSE are filed electronically through the CFDS portal and hard copies of the said disclosures and correspondence are also filed with the Stock Exchange.

The Company's financial results are displayed on the Company's Website [www.nrail.com](http://www.nrail.com).

There were no presentations made to the institutional investors or analysts

**11. GENERAL SHAREHOLDER INFORMATION :**

|      |                                                |                                                                                                                                                                                               |                                                                                                                                                                                                               |
|------|------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 11.1 | Company Registration details:                  | The Company is registered in the State of Maharashtra, India. The Corporate Identity Number (CIN) allotted to the Company by the Ministry of Corporate Affairs (MCA) is L22210MH1993PLC133365 |                                                                                                                                                                                                               |
| 11.2 | Annual General Meeting                         | Date and Time                                                                                                                                                                                 | Venue                                                                                                                                                                                                         |
|      |                                                | September 16, 2010<br>At 11.00 A.M.                                                                                                                                                           | GMS Community Centre Hall,<br>Sitaladevi Complex, D. N. Nagar,<br>Opp. Indian oil Nagar, On Link Road,<br>Andheri (W), Mumbai- 400053                                                                         |
| 11.3 | Financial Year                                 | :                                                                                                                                                                                             | April to March                                                                                                                                                                                                |
|      | Financial Calendar                             | :                                                                                                                                                                                             | First quarter results – last week of July*<br>Second quarter results – last week of October*<br>Third quarter results – last week of January *<br>Fourth quarter results – last week of April *<br>*Tentative |
| 11.4 | Date of Book Closure<br>Annual General Meeting | :                                                                                                                                                                                             | Friday, September 9, 2010 to Thursday, September 16, 2010<br>(both days inclusive)                                                                                                                            |
| 11.5 | Dividend Payment Date                          | :                                                                                                                                                                                             | within 30 days from date of Annual general meeting                                                                                                                                                            |
| 11.6 | Listing on Stock Exchange                      | :                                                                                                                                                                                             | At the Bombay Stock Exchange Limited                                                                                                                                                                          |
|      | (a) Stock Code – Physical                      | :                                                                                                                                                                                             | BSE, Mumbai – 516082                                                                                                                                                                                          |
|      | (b) ISIN Number in NSDL and CDSL               | :                                                                                                                                                                                             | ISIN No. INE740D01017                                                                                                                                                                                         |

**11.7 Market Price Data**

Table below gives the monthly highs and lows of the Company's shares on the Bombay Stock Exchange Limited (BSE).

| Months         | High                                          |            | Low                                           |            |
|----------------|-----------------------------------------------|------------|-----------------------------------------------|------------|
|                | N R Agarwal Industries Limited<br>Price (Rs.) | BSE Sensex | N R Agarwal Industries Limited<br>Price (Rs.) | BSE Sensex |
| April 2009     | 12.94                                         | 11,492.10  | 9.6                                           | 9,546.29   |
| May 2009       | 19                                            | 14,930.54  | 11.4                                          | 11,621.30  |
| June 2009      | 22.5                                          | 15,600.30  | 16.5                                          | 14,016.95  |
| July 2009      | 21.5                                          | 15,732.81  | 15.5                                          | 13,219.99  |
| August 2009    | 23.4                                          | 16,002.46  | 18.6                                          | 14,684.45  |
| September 2009 | 25.25                                         | 17,142.52  | 20                                            | 15,356.72  |
| October 2009   | 30.75                                         | 17,493.17  | 22.75                                         | 15,805.20  |
| November 2009  | 30                                            | 17,290.48  | 25.1                                          | 15,330.56  |
| December 2009  | 39                                            | 17,530.94  | 27.3                                          | 16,577.78  |
| January 2010   | 52                                            | 17,790.33  | 33.75                                         | 15,982.08  |
| February 2010  | 47                                            | 16,669.25  | 30.15                                         | 15,651.99  |
| March 2010     | 38.5                                          | 17,793.01  | 32                                            | 16,438.45  |

**Registrar & Transfer Agents:**

Sharex Dynamic (India) Private Limited

17/B, Dena Bank Building

2nd Floor, Horniman Circle

Fort, Mumbai – 400 001

**11.8 Share Transfer System**

The transfer of shares in physical form is processed and completed by Sharex Dynamic (India) Private Limited within a period of thirty days from the date of receipt thereof provided all the documents are in order. In case of shares in electronic form, the transfers are processed by NSDL/CDSL through respective Depository Participants. In compliance with the Listing Agreement with the Stock Exchanges, a practicing Company Secretary audits the System of Transfer and a Certificate to that effect is issued. The Share Transfer Committee meets on fortnightly basis (depending upon share transfers received)

**11.9 Distribution of shareholding as on 31st March, 2010:**

| Sr. No. | Range           | No. of shareholders | % to total holders | No. of Shares held | % of Capital |
|---------|-----------------|---------------------|--------------------|--------------------|--------------|
| 1       | 1 to 500        | 6264                | 88.54              | 952894             | 5.6          |
| 2       | 501 to 1,000    | 379                 | 5.36               | 317738             | 1.87         |
| 3       | 1,001 to 2,000  | 182                 | 2.57               | 281065             | 1.65         |
| 4       | 2,001 to 3,000  | 66                  | 0.93               | 174332             | 1.02         |
| 5       | 3,001 to 4,000  | 18                  | 0.25               | 63323              | 0.37         |
| 6       | 4,001 to 5,000  | 69                  | 0.98               | 332397             | 1.95         |
| 7       | 5,001 to 10,000 | 41                  | 0.58               | 294944             | 1.73         |
| 8       | 10,001 & above  | 56                  | 0.79               | 14602407           | 85.80        |
|         | Total           | 7075                | 100.00             | 17019100           | 100.00       |

**11.10 Categories of Shareholders as on 31st March, 2010:**

| Category                                           | No. of shares held | Percentage to total share capital |
|----------------------------------------------------|--------------------|-----------------------------------|
| Foreign holding (FIIs, OCBs and NRIs)              | 28655              | 0.169                             |
| Financial Institutions/ Banks/ Insurance Companies | 2500               | 0.014                             |
| Mutual Funds and UTI                               | 0                  | 0                                 |
| Corporate Bodies                                   | 1089872            | 6.404                             |
| Directors and their relatives                      | 12460923           | 73.217                            |
| Public                                             | 3437150            | 20.196                            |
| Total                                              | 17019100           | 100                               |

**11.11 Dematerialization of shares and Liquidity**

Trading in the Company's shares is permitted only in dematerialized form for all investors. The Company has established connectivity with National Securities Depository Limited and Central Depository Services (India) Limited through the Registrars, M/s Sharex Dynamic (India) Pvt. Ltd., whereby the investors have the option to dematerialize their shares with either of the depositories.

As on 31st March, 2010, 95.51 % of the paid up share capital has been dematerialized.

Outstanding GDRs /ADRs/Warrants or any convertible instruments conversion date and likely impact on equity: Not Applicable

**11.12 Plant Locations:**

| Unit – I                                                                                                 | Unit – II                                                                                                   | Unit – III                                                                                                    | Unit - IV                                                                                                      | Unit - V                                          |
|----------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|---------------------------------------------------|
| Plot No. 169, GIDC, Vapi - 396 195, Dist. Valsad, Gujarat State.<br>Telefax : 0260 - 2401 634 / 2401 706 | Plot No. 1, Phase 1, GIDC, Vapi - 396 195, Dist. Valsad, Gujarat State.<br>Telefax : 0260 2400979 / 2401841 | Plot No. 901, Phase 3, GIDC, Vapi - 396 195, Dist. Valsad, Gujarat State.<br>Telefax : 0260 2400052 / 2401836 | Plot No. 901/P, Phase 3 GIDC, Vapi - 396 195, Dist. Valsad, Gujarat State.<br>Telefax : 0260 2400052 / 2401836 | Sarigam Taluka, Umbergaon District Valsad Gujarat |

**11.13 Address for Correspondence**

Registrar and Share Transfer Agents :  
Sharex Dynamic (India) Private Limited  
17/B, Dena Bank Building  
2nd Floor, Horniman Circle,  
Fort, Mumbai - 400 001  
Tel. : 022-2270 2485 / 2264 1376  
Email : investors@nrail.com

## **NON-MANDATORY REQUIREMENTS:**

Remuneration Committee:

As stated earlier, the Board has already constituted a remuneration committee, the details of which are given in point 6 above.

## **DECLARATION**

As provided under clause 49 of the listing agreement with the Stock Exchange, the Board members and the senior management personnel have affirmed compliance with the code of conduct for the Board of directors and senior management for the year ended 31st March 2010.

For **N R AGARWAL INDUSTRIES LIMITED**

Mumbai  
Dated : 29.07.2010

**R N AGARWAL**  
Chairman & Managing Director & CEO

## **Auditors' Certificate on CORPORATE GOVERNANCE**

To

The members of

**N R AGARWAL INDUSTRIES LIMITED**

1. We have examined the compliance of conditions of Corporate Governance by **N. R. Agarwal Industries Limited**, for the period ended on 31st March, 2010 as stipulated in clause 49 of the Listing Agreement of the said Company with stock exchange.
2. The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.
3. In our opinion and to the best of our information and according to the explanations given to us and the representation made by the Directors and Management, in our opinion the company had complied with the condition of Corporate Governance as stipulated in Clause 49 of Listing Agreement.
4. On the basis of the Certificate issued by the Registrars of the Company and the minutes of the Shareholder's Investors Grievance Committee of the Company, we state that there were no investors Grievances pending as at March 31, 2010 against the Company for a period exceeding one month.
5. We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

For **Chaturvedi & Partners**  
*Chartered Accountants*  
Firm's Registration No.307068E

Mumbai,  
Date: 29.07.2010

G. Venkatakrishnan  
*Partner*  
Membership no.: 11255

Certification by  
**CHAIRMAN MANAGING DIRECTOR & CEO & CFO OF THE COMPANY**

We, Rajendra N. Agarwal, Chairman Managing Director & CEO and S Ramesh, Chief Financial Officer of N. R. Agarwal Industries Limited (the Company), hereby certify to the Board that:

- (a) We have reviewed the financial statements and the Cash Flow Statement for the year ended March 31, 2010 and that to the best of our knowledge and belief:
  - (i) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
  - (ii) these statements together present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
- (b) There are, to the best of our knowledge and belief, no transactions entered into by N R Agarwal Industries Limited during the year which are fraudulent, illegal or violative of the Company's Code of Conduct.
- (c) We are responsible for establishing and maintaining internal controls for financial reporting and we have evaluated the effectiveness of the internal control systems of the Company pertaining to financial reporting. We have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.
- (d) We have indicated to the auditors and the Audit Committee:
  - (i) Significant changes in internal controls over financial reporting during the year;
  - (ii) Significant changes in accounting policies during the year and the same have been disclosed in the Notes to the financial statements; and
  - (iii) There have been no instances of significant fraud of which we have become aware and the involvement therein, if any, of the Management or an employee having a significant role in the Company's internal control system.

**R N AGARWAL**

Chairman Managing Director & CEO

**S. RAMESH**

Chief Financial Officer

Mumbai

Dated : 29.07.2010

## **MANAGEMENT DISCUSSION & ANALYSIS REPORT**

### **INDUSTRY STRUCTURE AND DEVELOPMENTS:**

The Indian Paper Industry accounts for about 1.6% of the world's production of paper and paperboard. The estimated turnover of the industry is Rs 25,000 crore (USD 5.95 billion) approximately and its contribution to the exchequer is around Rs. 2918 crore (USD 0.69 billion). The industry provides employment to more than 0.12 million people directly and 0.34 million people indirectly. The industry was de-licenced effective from July, 1997 by the Government of India; foreign participation is permissible.

Indian paper industry is poised to grow and touch 11.5 million tonnes from 9.18 million tonnes to 2011-12 from 2009-10 at the rate of 8% per annum, according to The Associated Chambers of Commerce and Industry of India (ASSOCHAM). The ASSOCHAM paper on "Growth of Paper Industry in India", indicated that per capita paper consumption increased to 9.18 kg on 2009-10 as compared to 8.3 kg during 2008-09. Still, the figure is low (9.2 kg) compared to 42 kg in China and 350 kg in developed countries. India has emerged as the fastest growing market when it comes to consumption, posting 10.6% growth in per capita consumption of paper in 2009-10.

India produces many varieties of papers, namely, printing and writing paper, packaging paper, coated paper and some speciality paper. Varieties under printing and writing paper are creame wove paper, super printing paper, maplitho paper (non-surface and surface size), copier paper, bond paper and coating base paper and others. The varieties under packaging paper are kraft paper, boards, poster paper and others. The other varieties under coated paper are art paper/board, chromo paper/board and others.

Paper in India is made from 40 per cent of hardwood and bamboo fibre, 30 per cent from agro waste and 30 per cent from recycled fibre. Newsprint and publication paper account for 2 million tonnes, of which 1.2 million tonnes of newsprint paper is manufactured in India and the remaining 0.8 million tonne is imported. India imports about two million tonnes of pulp (soft wood and hardwood) and waste paper (sack waste for unbleached grades, envelopes waste, cup stock for white grades and magazine waste) for newsprint.

### **OPPORTUNITIES AND THREATS:**

The global demand/capacity ratio in the industry is expected to increase. The economic slowdown caused this ratio to be low in FY09 but with economic recovery, the demand is expected to grow at a faster rate than capacity, especially in the paperboard segment. This will increase the demand, putting pressure on the existing manufacturers to increase production or capacity, giving them pricing power and will attract new entrants in the industry. The demand for paper is fairly inelastic due to its wide use, lack of low cost substitutes and short life cycle of paper (making it more like a consumable than a durable). This permits the manufacturers to pass on most input cost increases to the consumer.

Indian paper industry can be more competitive by adding improvements of key ports, roads and railways and communication facilities, revision of forest policy is required for wood based paper industry so that plantation can be raised by industry, cooperatives of farmers, and state government. Degraded forest land should be made available to the industry for raising plantations. Import duty on waste paper should be reduced, Duty free imports of new & second hand machinery/equipment should be allowed for technology up gradation. The Indian paper industry is expected to attract Rs 10,000 crore investments in three to five years for setting up greenfield projects as well as capacity expansion of the existing plants. With the country's economy growing robustly, the paper consumption in India is bound to expand, and the existing gap is a good indicator of the industry's growth potential.

The Indian paper industry is fragmented with hundreds of mills with low production capacities. The top 10 producer covers 20-30% of the Indian total paper production capacity.

The paper industry in India looks extremely positive as the demand for upstream market of paper products, like, tissue paper, tea bags, filter paper, light weight online coated paper, medical grade coated paper, etc., is growing up.

India has surplus to export some grades. It exports following grades of papers to Middle East, South Eastern countries, Eastern Europe and USA: A4 copiers, wood-free (mostly from bamboo and agro waste by several small mills), MG varieties (from small agro based mills), coated duplex (mostly recycled fibre) and large quantity of converted products like stationery items, calendars, books, magazines, children's play books and comics.

Major issues confronting India's pulp and paper industry are high cost of production caused by inadequate availability and high cost of raw materials, power cost and concentration of mills in one particular area, non-availability of good-quality fibre, uneconomical plant size, technological obsolescence and environmental challenges. The cost of wood to Indian players is \$50 per metric tonne compared to around \$30 internationally. While issues related to technology, capacity and environment come directly under the purview of companies, raw material shortage is a disadvantage affecting all domestic companies. The Indian paper industry is fragmented with hundreds of mills with low production capacities.

### **SEGMENT-WISE PERFORMANCE:**

The Company is a single product Company and hence segment-wise performance is not provided.

## **EXPANSION**

This has been a year of expansion, growth and looking ahead into a future which promises to yield results and would take the company to a new dimension of success. The Company has set up a 300 TPD Writing/Printing cum Copier paper project. This would enable the company to produce "A" grade quality of newsprint/ Writing & Printing and thus fruitful results are expected out of this segment.

## **RISKS & CONCERNS**

Global raw material prices have risen sharply in March 2010, promoting paper manufacturers to pass on the cost to the consumers. Indian raw material prices too, have risen, but not to the extent of global increase in the raw material prices. Indian manufacturers however, were able to increase paper prices following global cues and earn better margins.

In India, mills depending upon waste paper for recycling are facing a shortage of raw material while the demand is growing as the mills are expanding. This is driving up the cost of waste paper which has gone up to around Rs 10 a kg, almost double of what it used to cost a year ago.

The government has imposed the Elementally Chlorine Free (ECF) compliance requirement (to be effective by 2012) that requires the manufacturers to produce paper from pulp that is bleached with a Chlorine derivative, hence prohibiting the use of elemental Chlorine. This requirement requires a large capital expense that could lead to certain small players leaving the industry.

The constant requirement of up gradation and expansion is a capital- intensive process, which is reflected by the high gearing ratios of the firms in the industry. The high D/E could cause restrictions on liquidity in the future. The recurring requirement of debt could put significant pressure on smaller firms that lack the leverage to obtain capital at competitive interest rates compelling them to leave the industry.

## **ENVIRONMENT AND SAFETY:**

The Company is conscious of the need for environmentally clean and safe operations. The Company policy requires the conduct of all operations in such manner so as to ensure safety of all concerned, compliance of statutory and industrial requirements for environment protection and conservation of natural resources to the extent possible.

## **INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY:**

The Company is having an efficient and well-established internal control system commensurate with the size and level of operations of the Company.

### **The key elements of internal control systems are as follows:**

- Clearly defined organization structure
- Well defined authorization for conducting business.
- Management control through efficient reporting system.
- A regular review of systems and procedures.

## **PERFORMANCE HIGHLIGHTS:**

During the year, the Company produced 126059 tonnes of Duplex Board and 31972 tonnes of Newsprint / W & P, compared to previous year of 120602 tonnes and 32997 tonnes respectively. The Company sold 125991 tonnes of Duplex Board and 32329 tonnes of Newsprint, during the year, as against 120528 tonnes of Duplex Board and 32330 tonnes of Newsprint / W & P, in the previous year. There has been an increase of around 6% in Production as well as Sales of Duplex Boards.

The Company has posted a total sales revenue of Rs 38855 Lacs as against Rs 38670 lacs for the previous financial year. As compared to the previous year, there has been a substantial increase in the Net Profit, mainly due to reduction in input costs and improved Sales realization.

During the year, the Company exported Duplex Board and realized Rs 511 lacs, as compared to Rs 1306 lacs, during the previous year.

## **HUMAN RESOURCES AND INDUSTRIAL RELATIONS:**

Relations between the Management and labour were cordial, throughout the year under review.

## **CAUTIONARY STATEMENT:**

Statement in this Management Discussion and Analysis describing the Company's objectives, projections, estimates, expectations or predictions may be "forward-looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could make a difference to the Company's operations include raw material availability and prices, cyclical demand and pricing in the Company's principal markets, changes in Government regulations, tax regimes, economic developments within India and the countries in which the Company conducts business and other incidental factors.

## **AUDITORS' REPORT**

To,

The Members of

### **N R AGARWAL INDUSTRIES LIMITED**

- 1) We have audited the attached Balance Sheet of N R AGARWAL INDUSTRIES LIMITED as at 31st March, 2010, the Profit and Loss Account and also the Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
- 2) We conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
- 3) As required by the Companies (Auditor's Report) Order 2003 and the Companies (Auditor's Report) Amendment Order 2004 issued by the Central Government of India in terms of sub-section (4A) of section 227 of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraph 4 & 5 of the said Order.
- 4) Attention is invited to Note No. 4(B) of Schedule "Q" annexed to and forming part of Accounts, regarding write back of excess provision for Gratuity & Leave Encashment. Had the assumptions followed in the previous year continued, the provision for Gratuity & Leave encashment (included in Schedule "K") would have been higher by Rs. 12,33,796/- and Rs.86,09,424/- respectively and the net profit before tax would have been lower by Rs.35,48,539/-.
- 5) Further to our comments in the Annexure referred to above, we report that:
  - a) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
  - b) In our opinion, the Company has kept proper books of account as required by law so far as appears from our examination of those books;
  - c) The Balance Sheet, Profit and Loss account and Cash Flow statement dealt with by this report are in agreement with the books of account;
  - d) In our opinion, the Balance Sheet, Profit and Loss account and Cash Flow statement dealt with by this report comply with the Accounting Standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956.
  - e) On the basis of written representations received from the directors as on 31st March 2010, and taken on record by the Board of Directors, we report that none of the Directors is disqualified as on March 31, 2010 from being appointed as a director in terms of clause (g) of sub section (1) of section 274 of the Companies Act, 1956.
  - f) In our opinion and to the best of our information and according to the explanations given and management representations made to us, the said accounts subject to para 4 above give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India;
    - i) In the case of the Balance Sheet, of the state of affairs of the company as at 31st March, 2010
    - ii) In the case of the Profit and Loss account, of the "Profit" for the year ended on that date; and
    - iii) In the case of the Cash Flow statement, of the Cash Flow for the year ended on that date.

For **CHATURVEDI & PARTNERS**  
*Chartered Accountants*  
Firm's Registration No. 307068 E

Mumbai  
Dated : 29.07.2010

**G. VENKATAKRISHNAN**  
*(Partner)*  
Membership No. 11255

**ANNEXURE TO THE AUDITORS' REPORT**

Referred to in paragraph 3 of our Report of even date

- 1) a) The Company has maintained proper records showing full particulars including quantitative details and situation of fixed assets except for the assets under installation.  
b) All the assets have not been physically verified by the management during the year but there is a regular program of verification which, in our opinion, is reasonable having regard to the size of the company and the nature of its assets. No material discrepancies were noticed on such verification.  
c) The Company has not disposed off substantial part of its fixed assets, which affect the going concern status of the Company.
- 2) a) As explained to us, the management, at reasonable intervals during the year, has physically verified the inventories.  
b) In our opinion and according to the information & explanations given to us, the procedures of physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the company and the nature of its business.  
c) The company is maintaining proper records of inventory. As explained to us, no material discrepancies have been noticed on physical verification of stocks as compared to book records.
- 3) The Company has neither granted nor taken any loans, secured or unsecured to and from companies, firms or other parties covered in the register maintained under section 301 of the Companies Act, 1956. Accordingly, the clauses 4(iii) (b) to (g) of the Order are not applicable.
- 4) In our opinion and according to the information and explanations given to us, there are adequate internal control systems commensurate with the size of the company and the nature of its business with regard to purchases of inventory, fixed assets and with regard to the sale of goods and services. During the course of our audit we have not observed any major weaknesses in internal controls.
- 5) a) In our opinion and according to the information's and explanations given to us, the transactions that need to be entered into a register in pursuance of section 301 of the Act have been properly entered.  
b) All the transactions have been made at prices which are reasonable having regard to the prevailing market prices at the relevant time and the nature of services rendered by such parties.
- 6) In our opinion and according to the information and explanation given to us, the Company has complied with the provision of section 58A & 58AA or any other relevant provisions of the Act and the Companies (Acceptance of Deposits) Rules, 1975 with regards to the deposits accepted from the public. We have been informed that no Order has been passed by the Company Law Board or National Company Law Tribunal or Reserve Bank of India or any Court or any other Tribunal.
- 7) In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.
- 8) We have broadly reviewed the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under section 209 (1) (d) of the Companies Act, 1956. We are of the opinion that prima facie the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the said records.
- 9) a) According to the books of account and records as produced and examined by us in accordance with the generally accepted auditing practice in India, in our opinion, the Company is regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees State Insurance, Income Tax, Sales Tax, Custom Duty, Service Tax, Excise duty, Cess and other material statutory dues as applicable with the appropriate authorities.  
b) According to the books of accounts and records as produced and examined by us in accordance with the generally accepted auditing practices in India, as at 31st March 2010, the following are the particulars of dues that have not been deposited on account of any dispute.

| Name of the statute      | Name of the dues | Amount (Rs) | Forum where dispute is pending                   | Financial year to which the amount relates |
|--------------------------|------------------|-------------|--------------------------------------------------|--------------------------------------------|
| Central Excise Act, 1944 | Excise duty      | 16,03,148   | Appellate Authority up to Commissioner level     | 2003-04 to 2008-09                         |
| Central Excise Act, 1944 | Excise duty      | 1,01,923    | Appellate Authority – Up to Commissioners' level | 2009 -10                                   |

- 10) The Company has no accumulated losses and has not incurred any cash losses during the financial year covered by our audit or in immediately preceding financial year.
- 11) On the basis of certificate issued by the term lending bankers, the company has not defaulted the repayment of dues to them during the year.
- 12) According to the information and explanations given to us, the Company has not granted any loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
- 13) In our opinion, the company is not a chit fund or a nidhi / mutual benefit fund/society. Therefore, the provisions of clause 4(xiii) of the Companies (Auditor's Report) Order, 2003 are not applicable to the company.
- 14) In our opinion, the Company is not dealing in or trading in shares, securities, debentures and other investments. Accordingly, the provisions of clause 4(xiv) of the Companies (Auditor's Report) Order, 2003 are not applicable to the Company.
- 15) In our opinion, the terms and conditions on which the Company has given guarantees for loans taken by others from banks & financial institutions are prima facie, not prejudicial to the interest of the Company.
- 16) In our opinion, on the basis of information and explanations given to us, the term loans were applied for the purpose for which they were raised.
- 17) In our opinion and according to the information and explanations given to us, and on an overall examination of the Balance Sheet of the company, we report that no funds raised on short-term basis have been used for long-term investment.
- 18) During the year, the company has not made any preferential allotment of shares to parties and companies covered in the register maintained under section 301 of the Act.
- 19) According to the information and explanations given to us, during the year the company has not issued any debentures.
- 20) The company has not raised any money through a public issue during the year.
- 21) During the course of our examination of the books & records of the Company carried out in accordance with the generally accepted accounting practices in India & according to the information's & explanations given to us, we have neither come across any instance of fraud on or by the Company, noticed or reported during the year, nor have we been informed of such case by the management.

For **CHATURVEDI & PARTNERS**

*Chartered Accountants*

Firm's Registration No. 307068 E

**G. VENKATAKRISHNAN**

*(Partner)*

Membership No.11255

Mumbai

Dated : 29.07.2010

**BALANCE SHEET**

as at 31st March 2010

|                                                  | Schedule     | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|--------------------------------------------------|--------------|------------------------------------|------------------------------------|
| <b>SOURCES OF FUNDS</b>                          |              |                                    |                                    |
| <b>(1) SHARE HOLDERS' FUND</b>                   |              |                                    |                                    |
| (a) Share Capital                                | A            | 170,191,000                        | 170,191,000                        |
| <b>(2) RESERVES AND SURPLUS</b>                  | B            | 510,161,016                        | 330,120,832                        |
|                                                  |              | <u>680,352,016</u>                 | <u>500,311,832</u>                 |
| <b>(3) LOAN FUNDS</b>                            |              |                                    |                                    |
| (a) Secured Loans                                | C            | 882,284,068                        | 733,578,763                        |
| (b) Unsecured Loans                              | D            | 45,778,154                         | 98,732,173                         |
|                                                  |              | <u>928,062,222</u>                 | <u>832,310,936</u>                 |
| <b>(4) DEFERRED TAX LIABILITY</b>                |              | 164,306,064                        | 164,306,064                        |
|                                                  | <b>TOTAL</b> | <u>1,772,720,302</u>               | <u>1,496,928,831</u>               |
| <b>APPLICATION OF FUNDS</b>                      |              |                                    |                                    |
| <b>(1) FIXED ASSETS</b>                          | E            |                                    |                                    |
| (a) Gross Block                                  |              | 1,723,635,743                      | 1,652,996,296                      |
| (b) Less : Depreciation                          |              | <u>597,042,667</u>                 | <u>516,953,602</u>                 |
| (c) Net Block                                    |              | 1,126,593,076                      | 1,136,042,694                      |
| (d) Add : Capital Work in Progress               |              | <u>534,748,844</u>                 | <u>32,475,025</u>                  |
|                                                  |              | <u>1,661,341,920</u>               | <u>1,168,517,719</u>               |
| <b>(2) INVESTMENTS</b>                           | F            | 1,847,860                          | 1,847,860                          |
| <b>(3) CURRENT ASSETS, LOANS AND ADVANCES</b>    |              |                                    |                                    |
| (a) Inventories                                  | G            | 262,470,958                        | 257,780,920                        |
| (b) Sundry Debtors                               | H            | 410,214,258                        | 511,462,883                        |
| (c) Cash and Bank Balances                       | I            | 89,874,308                         | 25,287,315                         |
| (d) Loans and Advances                           | J            | 233,935,907                        | 148,468,965                        |
|                                                  |              | <u>996,495,430</u>                 | <u>943,000,083</u>                 |
| <b>Less : CURRENT LIABILITIES AND PROVISIONS</b> |              |                                    |                                    |
| (a) Liabilities                                  | K            | 839,908,563                        | 579,012,668                        |
| (b) Provisions                                   |              | <u>47,056,346</u>                  | <u>37,424,164</u>                  |
|                                                  |              | <u>886,964,909</u>                 | <u>616,436,832</u>                 |
| <b>NET CURRENT ASSETS</b>                        |              | <u>109,530,522</u>                 | <u>326,563,251</u>                 |
|                                                  | <b>TOTAL</b> | <u>1,772,720,302</u>               | <u>1,496,928,831</u>               |
| <b>NOTES TO ACCOUNTS</b>                         | Q            |                                    |                                    |

The Schedules referred to above form an integral part of the Balance Sheet.

As per our attached report of even date

For **CHATURVEDI & PARTNERS**

Chartered Accountants

Firm's Registration No. 307068 E

**G. VENKATAKRISHNAN**

Partner

Membership No.11255

Mumbai

29th July 2010

For and on behalf of the Board of Directors

**R N AGARWAL**

Chairman Managing Director &amp; CEO

**S N CHATURVEDI**

Director

**PRIYANKA AGRAWAL**

Company Secretary

**PROFIT AND LOSS ACCOUNT**

for the year ended 31st March 2010

|                                                             | Schedule | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|-------------------------------------------------------------|----------|------------------------------------|------------------------------------|
| <b>INCOME</b>                                               |          |                                    |                                    |
| Sales                                                       |          | 3,885,522,187                      | 3,867,076,305                      |
| Sales-Traded Goods                                          |          | 8,619,041                          | 3,844,846                          |
| Other Income                                                | L        | 30,260,974                         | 30,074,579                         |
| Increase / Decrease in stock + / (-)                        | M        | (417,608)                          | 12,202,440                         |
|                                                             |          | <u>3,923,984,594</u>               | <u>3,913,198,170</u>               |
| <b>EXPENDITURE</b>                                          |          |                                    |                                    |
| Raw Materials Consumed                                      | N        | 2,208,617,122                      | 2,244,328,969                      |
| Purchases of Traded Goods                                   |          | -                                  | 3,821,342                          |
| Manufacturing and Other Expenses                            | O        | 1,343,511,613                      | 1,390,066,675                      |
| Interest                                                    | P        | 86,138,642                         | 100,805,456                        |
| Depreciation                                                | E        | 80,853,356                         | 80,969,777                         |
|                                                             |          | <u>3,719,120,733</u>               | <u>3,819,992,219</u>               |
| <b>PROFIT BEFORE TAXATION &amp; EXCEPTIONAL ITEMS</b>       |          | 204,863,862                        | 93,205,951                         |
| <b>EXCEPTIONAL ITEMS</b>                                    | Q-10     | 76,180,000                         | 25,000,000                         |
| <b>PROFIT BEFORE TAXATION &amp; AFTER EXCEPTIONAL ITEMS</b> |          | 281,043,862                        | 118,205,951                        |
| Provision for Taxation                                      |          | 71,500,000                         | 24,633,930                         |
| Provision for Deferred Tax                                  |          | -                                  | 4,015,627                          |
| Fringe Benefit Tax                                          |          | -                                  | 500,000                            |
| <b>PROFIT AFTER TAXATION</b>                                |          | 209,543,862                        | 89,056,394                         |
| Excess provision written back                               |          | 6,337,015                          | -                                  |
| Previous year taxation Adjustment + / (-)                   |          |                                    | 1,329,693                          |
| Prior year Adjustments + / (-)                              |          |                                    | (1,749,502)                        |
| Balance brought forward                                     |          | 285,867,889                        | 219,642,799                        |
| <b>PROFIT AVAILABLE FOR APPROPRIATION</b>                   |          | 501,748,766                        | 308,279,384                        |
| <b>APPROPRIATIONS</b>                                       |          |                                    |                                    |
| Proposed final dividend - equity shares                     |          | 30,634,380                         | 17,019,100                         |
| Tax on proposed equity dividend                             |          | 5,206,313                          | 2,892,396                          |
| Transfer to General Reserve                                 |          | 15,800,000                         | 2,500,000                          |
| <b>BALANCE CARRIED TO BALANCE SHEET</b>                     |          | 450,108,073                        | 285,867,888                        |
| <b>Basic and diluted earning per share (in Rs.)</b>         |          | 12.68                              | 5.21                               |
| <b>NOTES TO ACCOUNTS</b>                                    | Q        |                                    |                                    |

The Schedules referred to above form an integral part of the Profit &amp; Loss Account.

As per our attached report of even date

For **CHATURVEDI & PARTNERS**

Chartered Accountants

Firm's Registration No. 307068 E

**G. VENKATAKRISHNAN**

Partner

Membership No.11255

Mumbai

29th July 2010

For and on behalf of the Board of Directors

**R N AGARWAL**

Chairman Managing Director &amp; CEO

**S N CHATURVEDI**

Director

**PRIYANKA AGRAWAL**

Company Secretary

**CASH FLOW STATEMENT AS PER THE CLAUSE 32 OF THE LISTING AGREEMENT CASH FLOW STATEMENT**

for the Year Ended 31st March, 2010

|                                                 | Year ended<br>31.03.2010 |                    | Year ended<br>31.03.2009 |                   |
|-------------------------------------------------|--------------------------|--------------------|--------------------------|-------------------|
|                                                 | Rs.                      | Rs.                | Rs.                      | Rs.               |
| <b>A CASH FLOW FROM OPERATING ACTIVITIES</b>    |                          |                    |                          |                   |
| Net Profit before Tax and Extraordinary Items   |                          | <b>281043862</b>   |                          | 118205952         |
| ADJUSTMENTS FOR                                 |                          |                    |                          |                   |
| Depreciation                                    | <b>80853356</b>          |                    | 80969777                 |                   |
| Interest                                        | <b>86138642</b>          |                    | 100805456                |                   |
| Loss/(Profit) on Sale of Assets (net)           | <b>543701</b>            |                    | (577748)                 |                   |
| Profit on sale of Investments                   | <b>(5165)</b>            |                    | 0                        |                   |
| Dividend received                               | <b>(96133)</b>           |                    | (86800)                  |                   |
| Interest received                               | <b>(19866752)</b>        |                    | (7666564)                |                   |
| Bad Debts written off                           | <b>691155</b>            |                    | 724319                   |                   |
| Misc. Expenses W/off                            | <b>0</b>                 | <b>148258803</b>   | <b>0</b>                 | <b>174168439</b>  |
| OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES |                          | <b>429302665</b>   |                          | 292374391         |
| CHANGES IN                                      |                          |                    |                          |                   |
| Trade and Other Receivables                     | <b>100557470</b>         |                    | (117553852)              |                   |
| Inventories                                     | <b>(4690038)</b>         |                    | (3810091)                |                   |
| Trade Payables                                  | <b>199971233</b>         |                    | 7042429                  |                   |
| Loans & Advances                                | <b>(20966942)</b>        | <b>274871723</b>   | 63216831                 | (51104683)        |
| CASH GENERATED FROM OPERATIONS                  |                          | <b>704174389</b>   |                          | 241269708         |
| Direct Taxes Paid                               | <b>(64500000)</b>        | <b>(64500000)</b>  | <b>(18600000)</b>        | <b>(18600000)</b> |
| Cash Flow Before Extra Ordinary Items           |                          | <b>639674389</b>   |                          | 222669708         |
| Excess provision written back                   | <b>6337015</b>           |                    | 0                        |                   |
| Miscellaneous Expenditure                       |                          |                    |                          |                   |
| Previous Year Adjustments                       | <b>-</b>                 | <b>6337015</b>     | <b>(419809)</b>          | <b>(419809)</b>   |
| Net Cash from Operating Activities              |                          | <b>646011404</b>   |                          | <b>222249899</b>  |
| <b>B CASH FLOW FROM INVESTMENT ACTIVITIES</b>   |                          |                    |                          |                   |
| Purchase of Fixed Assets                        | <b>(575073092)</b>       |                    | <b>(53191605)</b>        |                   |
| Sale of Fixed Assets                            | <b>857000</b>            |                    | 2592000                  |                   |
| Purchase of Investments                         | <b>0</b>                 |                    | 0                        |                   |
| Dividend received                               | <b>96133</b>             |                    | 86800                    |                   |
| Interest received                               | <b>19866752</b>          |                    | 7666564                  |                   |
| Sale of Investments                             | <b>0</b>                 | <b>(554253207)</b> | <b>0</b>                 | <b>(42846241)</b> |
| Net Cash used in Investing Activities           |                          | <b>(554253207)</b> |                          | <b>(42846241)</b> |

# CASH FLOW STATEMENT AS PER THE CLAUSE 32 OF THE LISTING AGREEMENT CASH FLOW STATEMENT

for the Year Ended 31st March, 2010

|                                                   | Year ended<br>31.03.2010<br>Rs. | Year ended<br>31.03.2009<br>Rs. |
|---------------------------------------------------|---------------------------------|---------------------------------|
| <b>C CASH FLOW FROM FINANCING ACTIVITIES</b>      |                                 |                                 |
| Proceeds from Issue of Share Capital              | 0                               | 0                               |
| Interest Paid                                     | (87081798)                      | (102215665)                     |
| Proceeds from Long Term Borrowings                | 312216176                       | 36681542                        |
| Repayment of Long Term Borrowings                 | (163510870)                     | (152724915)                     |
| Unsecured Loans                                   | (52954019)                      | (7920591)                       |
| Preference Dividend including tax thereon         | 0                               | 0                               |
| Equity share Dividend including tax thereon       | (35840693)                      | (23208744)                      |
|                                                   | <u>(27171204)</u>               | <u>(249388373)</u>              |
| Net Cash used in Financing Activities             | <u>(27171204)</u>               | <u>(249388373)</u>              |
| NET INCREASE IN CASH AND CASH EQUIVALENTS (A+B+C) | <u>64586993</u>                 | <u>(69984715)</u>               |
| CASH AND CASH EQUIVALENTS - OPENING BALANCE       | 25287315                        | 95272029                        |
| CASH AND CASH EQUIVALENTS - CLOSING BALANCE       | <u>89874308</u>                 | <u>25287315</u>                 |
|                                                   | <u>64586993</u>                 | <u>(69984715)</u>               |

As per our attached report of even date

For **CHATURVEDI & PARTNERS**

Chartered Accountants

Firm's Registration No. 307068 E

**G. VENKATAKRISHNAN**

Partner

Membership No.11255

Mumbai

29th July 2010

For and on behalf of the Board of Directors

**R N AGARWAL**

Chairman Managing Director & CEO

**S N CHATURVEDI**

Director

**PRIYANKA AGRAWAL**

Company Secretary

**SCHEDULES**

Forming part of the Balance Sheet

|                                                                                     | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|-------------------------------------------------------------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : A</b>                                                                 |                                    |                                    |
| <b>SHARE CAPITAL</b>                                                                |                                    |                                    |
| <b>Authorised</b>                                                                   |                                    |                                    |
| 225,00,000 Equity Shares Rs. 10 each                                                | 225,000,000                        | 225,000,000                        |
| 25,00,000 Preference Shares of Rs.10 each                                           | 25,000,000                         | 25,000,000                         |
|                                                                                     | <u>250,000,000</u>                 | <u>250,000,000</u>                 |
| <b>Issued, Subscribed and Paid Up</b>                                               |                                    |                                    |
| 1,70,19,100 Equity Shares of Rs. 10 each fully paid up                              | 170,191,000                        | 170,191,000                        |
| 850,000 1% Non-Cumulative Redeemable Preference Shares of Rs.10 each fully paid up. | 0                                  | 0                                  |
| <b>TOTAL</b>                                                                        | <u>170,191,000</u>                 | <u>170,191,000</u>                 |
| <b>SCHEDULE : B</b>                                                                 |                                    |                                    |
| <b>RESERVES AND SURPLUS</b>                                                         |                                    |                                    |
| <b>General Reserve</b>                                                              |                                    |                                    |
| Balance as per Last Account                                                         | 35,752,943                         | 33,252,943                         |
| Add: Transfer from profit and loss account                                          | <u>15,800,000</u>                  | <u>2,500,000</u>                   |
|                                                                                     | 51,552,943                         | 35,752,943                         |
| <b>Capital Redemption Reserve</b>                                                   |                                    |                                    |
| Balance as per Last Account                                                         | 8,500,000                          | 8,500,000                          |
| Add: Transfer from Profit and Loss Account                                          | <u>0</u>                           | <u>0</u>                           |
| <b>Profit and Loss Account</b>                                                      |                                    |                                    |
| Balance as per profit and loss account                                              | 450,108,073                        | 285,867,889                        |
|                                                                                     | <u>450,108,073</u>                 | <u>285,867,889</u>                 |
|                                                                                     | <u>510,161,016</u>                 | <u>330,120,832</u>                 |

## SCHEDULES

Forming part of the Balance Sheet

|                                                | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|------------------------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : C</b>                            |                                    |                                    |
| <b>SECURED LOANS</b>                           |                                    |                                    |
| <b>i) Term Loans</b>                           |                                    |                                    |
| Bank of India                                  | 12,043,697                         | 43,083,697                         |
| Bank of India-Office Loan                      | 44,792,040                         | 0                                  |
| The Bombay Mercantile Co-operative Bank Ltd.   | 13,634,939                         | 26,966,000                         |
| Oriental Bank of Commerce                      | 4,061,239                          | 20,015,000                         |
| Bank of Baroda                                 | 10,063,464                         | 41,115,081                         |
| Bank of Baroda-New                             | 217,035,845                        | 0                                  |
| I D B I Bank                                   | 68,750,000                         | 93,750,000                         |
| <b>ii) Corporate Loans</b>                     |                                    |                                    |
| I D B I Bank                                   | 18,750,000                         | 43,750,000                         |
| Bank of India                                  | 1,644,000                          | 21,652,000                         |
| <b>iii) Vehicle Loans</b>                      |                                    |                                    |
| Centurian Bank                                 | 351,869                            | 881,108                            |
| ICICI Bank                                     | 4,470,653                          | 0                                  |
| HDFC Bank                                      | 3,529,454                          | 0                                  |
| <b>iv) Indus Ind Bank Loan-Short Term Loan</b> | 60,000,000                         | 60,000,000                         |
| <b>v) Working Capital Loan from Banks</b>      | 423,156,868                        | 382,365,877                        |
|                                                | <b>882,284,068</b>                 | <b>733,578,763</b>                 |

Notes:

- 1) Term Loan/ Corporate Loan from IDBI Bank is secured by hypothecation of plant and machinery and extension of existing security on immovable properties situated at Vapi Plants on pari passu basis with other term lenders.
- 2) The Term Loans/ Corporate Loans from Bank of India are secured by First pari passu charge on company's net block excluding motor cars, office premises at Mumbai, staff quarters at Vapi and land at Sarigam, but including land admeasuring 19770 sq. metres at GIDC, Vapi purchased from Agarwal Paper Mills Ltd, and Agrashakti Paper Mills Ltd.
- 3) The Term Loan from Oriental Bank of Commerce is secured by hypothecation of plant and machinery and extension of existing security on immovable properties situated at Vapi Plants on pari passu basis with other term lenders.
- 4) The Term Loan from Bank of Baroda is secured by hypothecation of plant and machinery and extension of existing security on immovable properties situated at Vapi Plants on pari passu basis with other term lenders.
- 5) The Term Loan from Bombay Mercantile Co-operative Bank Limited is secured by way of Equitable Mortgage of Office premises situate at Janki Centre, Mumbai of the Company & are further secured by personal guarantee of Mr N.R. Agarwal & Mr R. N. Agarwal
- 6) The term loans from Bank of India, Oriental Bank of Commerce, Bank of Baroda and Bombay Mercantile Co-operative Bank Ltd, are further secured by the personal guarantee of Shri R. N. Agarwal.
- 7) The working capital loans from Banks are secured by hypothecation of present and future stock of raw materials, steam coal, goods-in-process, finished goods and book debts etc. ranking pari passu inter-se and second charge on Company's movable and immovable fixed assets and further secured by personal guarantee of Shri R. N. Agarwal.
- 8) The Loan from IndusInd Bank is secured by way of Equitable Mortgage of Residential premises situated at Sunny Side Bungalow, Lokhandwala Complex, Andheri (W) Mumbai 400053 and Sarigam Land admeasuring 24383 sq mts.
- 9) New Term loan from Bank of Baroda is secured by way of first pari passu charge on immovable properties (Unit I ,II,III and IV ) situated at Vapi, together with buildings and other structures thereon excluding all plant and machinery and second pari passu charge on current assets of the Company and exclusive first charge on Company's Land, admeasuring 57.03 acres alongwith immovable properties attached to this land located at Sarigam Gujarat and are further secured by the personal guarantee of Shri R. N. Agarwal.
- 10) New office Loan of Bank of India is secured by equitable mortgage on the said property & further secured by the personal guarantee of Shri R. N. Agarwal.

# **SCHEDULES**

Forming part of the Balance Sheet

|                               | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|-------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : D</b>           |                                    |                                    |
| <b>UNSECURED LOANS</b>        |                                    |                                    |
| Fixed Deposits                | <b>6,300,000</b>                   | 3,300,000                          |
| Trade Deposits                | <b>5,642,808</b>                   | 57,692,982                         |
| Other deposits-From Directors | <b>33,835,346</b>                  | 37,739,191                         |
|                               | <b><u>45,778,154</u></b>           | <b><u>98,732,173</u></b>           |

## **SCHEDULE : E** **FIXED ASSETS**

| Particulars                      | GROSS BLOCK (AT COST) |                                 |                            |                     | DEPRECIATION        |                 |                                  | NET BLOCK           |                     |                     |
|----------------------------------|-----------------------|---------------------------------|----------------------------|---------------------|---------------------|-----------------|----------------------------------|---------------------|---------------------|---------------------|
|                                  | As at<br>01.04.2009   | Additions<br>during the<br>year | Deductions/<br>Adjustments | As at<br>31.03.2010 | As at<br>01.04.2009 | For the year    | On<br>Deductions/<br>Adjustments | As at<br>31.03.2010 | As at<br>31.03.2010 | As at<br>31.03.2009 |
|                                  | Rupees                | Rupees                          | Rupees                     | Rupees              | Rupees              | Rupees          | Rupees                           | Rupees              | Rupees              | Rupees              |
| 1. Land                          | 36371476              | 6356950                         | 0                          | 42728426            | 0                   | 0               | 0                                | 0                   | 42728426            | 36371476            |
| 2. Leasehold Land                | 35402448              | 0                               | 0                          | 35402448            | 820727              | 0               | 0                                | 820727              | 34581721            | 34581721            |
| 3. Factory Building              | 196366871             | 0                               | 0                          | 196366871           | 49216168            | 6558654         | 0                                | 55774822            | 140592049           | 147150703           |
| 4. Plant and Machinery           | 1317731954            | 52422318                        | 0                          | 1370154272          | 438657423           | 69614792        | 0                                | 508272215           | 861882057           | 879074531           |
| 5. Furniture and Fixtures        | 18185718              | 596100                          | 0                          | 18781818            | 7861623             | 1036872         | 0                                | 8898495             | 9883323             | 10324095            |
| 6. Motor Cars                    | 14560259              | 12911466                        | 2123126                    | 25348599            | 4597246             | 1986920         | 729425                           | 5854741             | 19493858            | 9963013             |
| 7. Others - Building             | 17015400              | 0                               | 0                          | 17015400            | 3352121             | 277351          | 0                                | 3629472             | 13385928            | 13663279            |
| 8. Computer                      | 11683961              | 417438                          | 36700                      | 12064699            | 6770089             | 1362934         | 34865                            | 8098158             | 3966541             | 4913872             |
| 9. Intangible Asset-SAP Software | 5678209               | 95000                           | 0                          | 5773209             | 5678205             | 15833           |                                  | 5694038             | 79171               | 4                   |
| <b>TOTAL</b>                     | <b>1652996296</b>     | <b>72799273</b>                 | <b>2159826</b>             | <b>1723635743</b>   | <b>516953602</b>    | <b>80853356</b> | <b>764290</b>                    | <b>597042668</b>    | <b>1126593075</b>   | <b>1136042694</b>   |
| Previous Year                    | 1589705017            | 67085190                        | 3793911                    | 1652996296          | 437763484           | 80969777        | 1779659                          | 516953602           |                     |                     |
| Capital Work in Progress         |                       |                                 |                            |                     |                     |                 |                                  |                     | 534748844           | 32475025            |
|                                  |                       |                                 |                            |                     |                     |                 |                                  |                     | 1661341920          | 1168517719          |

**SCHEDULES**

Forming part of the Balance Sheet

|                                                                                                                                                          | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|----------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : F</b>                                                                                                                                      |                                    |                                    |
| <b>INVESTMENTS (AT COST)</b>                                                                                                                             |                                    |                                    |
| <b>Unquoted</b>                                                                                                                                          |                                    |                                    |
| Shares of Sagar Sarita Co. Operative Housing Society Limited                                                                                             | 3,500                              | 3,500                              |
| Shares of Laxmi Co. Operative Housing Society Limited                                                                                                    | 2,750                              | 2,750                              |
| Shares of MahaLaxmi Co. Operative Housing Society Limited                                                                                                | 3,750                              | 3,750                              |
| Shares of The Greater Bombay Co-operative Bank Limited<br>(8040 Equity Shares of @ Rs. 25/- each fully paid up)                                          | 201,000                            | 201,000                            |
| Shares of Kherani Paper Mills Pvt. Ltd. (95 Equity Shares of Rs. 100/- each fully paid up)                                                               | 9,500                              | 9,500                              |
| Shares - Bombay Mercantile Co-operative Bank Ltd<br>(33912 Equity Shares of @ Rs. 30/- each fully paid up)<br>(Previous year 33912 Equity Shares @30/- ) | 1,017,360                          | 1,017,360                          |
| Shares - Moogaveera Co-op. Bank Ltd, 10 Shares of Rs.100/- each<br>(Previous year 10 Shares of Rs.100/-)                                                 | 1,000                              | 1,000                              |
| <b>Quoted</b>                                                                                                                                            |                                    |                                    |
| 6000 fully paid up Equity Shares of Bank of Baroda of Rs. 10/- each                                                                                      | 510,000                            | 510,000                            |
| 2200 fully paid up Equity Shares of Bank of India of Rs. 10/- each                                                                                       | 99,000                             | 99,000                             |
| Aggregate book value of :                                                                                                                                |                                    |                                    |
| Quoted investment : Rs. 609000 (Previous year Rs 609000)                                                                                                 |                                    |                                    |
| Unquoted investment : Rs.1238860 (Previous year Rs 1238860)                                                                                              |                                    |                                    |
| Aggregate market value of Quoted Investment Rs. 4585150 ( Previous Year Rs.1891080)                                                                      |                                    |                                    |
|                                                                                                                                                          | <b>1,847,860</b>                   | <b>1,847,860</b>                   |
| <b>SCHEDULE : G</b>                                                                                                                                      |                                    |                                    |
| <b>INVENTORIES</b>                                                                                                                                       |                                    |                                    |
| (As taken, valued and certified by the Management)                                                                                                       |                                    |                                    |
| Stores, spares and tools                                                                                                                                 | 72,188,656                         | 107,225,209                        |
| Packing Materials                                                                                                                                        | 5,306,045                          | 3,812,609                          |
| Raw Materials                                                                                                                                            | 132,349,078                        | 93,698,315                         |
| Work-in-process                                                                                                                                          | 7,678,364                          | 8,120,000                          |
| Finished Goods                                                                                                                                           | 44,948,815                         | 44,924,787                         |
|                                                                                                                                                          | <b>262,470,958</b>                 | <b>257,780,920</b>                 |
| <b>SCHEDULE : H</b>                                                                                                                                      |                                    |                                    |
| <b>SUNDRY DEBTORS</b>                                                                                                                                    |                                    |                                    |
| Debts - exceeding 6 months                                                                                                                               |                                    |                                    |
| - considered good                                                                                                                                        | 4,046,473                          | 10,995,071                         |
|                                                                                                                                                          | <b>4,046,473</b>                   | <b>10,995,071</b>                  |
| Other Debts                                                                                                                                              | 406,167,785                        | 500,467,812                        |
|                                                                                                                                                          | <b>410,214,258</b>                 | <b>511,462,883</b>                 |

**SCHEDULES**

Forming part of the Balance Sheet

|                                                                                              | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|----------------------------------------------------------------------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : I</b>                                                                          |                                    |                                    |
| <b>CASH AND BANK BALANCES</b>                                                                |                                    |                                    |
| Cash on Hand                                                                                 | 200,018                            | 681,544                            |
| Balances with Scheduled Banks - In Current Accounts                                          | 27,475,785                         | 802,801                            |
| In Margin Money Accounts                                                                     | 62,198,505                         | 23,802,970                         |
|                                                                                              | <u>89,874,308</u>                  | <u>25,287,315</u>                  |
| <b>SCHEDULE : J</b>                                                                          |                                    |                                    |
| <b>LOANS AND ADVANCES</b>                                                                    |                                    |                                    |
| (Unsecured, Considered good)                                                                 |                                    |                                    |
| Advances Recoverable in cash or in kind or for value to be received.*                        | 123,496,719                        | 93,670,741                         |
| Deposits                                                                                     | 34,396,328                         | 33,037,477                         |
| Intercompany Deposits                                                                        | 4,500,000                          | 12,000,000                         |
| Balances with Customs                                                                        | 3,031,030                          | 1,653,679                          |
| Advance Payment of Income Tax (Net of Provisions)                                            | 68,511,829                         | 8,107,068                          |
|                                                                                              | <u>233,935,907</u>                 | <u>148,468,965</u>                 |
| <b>SCHEDULE : K</b>                                                                          |                                    |                                    |
| <b>CURRENT LIABILITIES AND PROVISIONS</b>                                                    |                                    |                                    |
| <b>(a) Current Liabilities</b>                                                               |                                    |                                    |
| Sundry Creditors (due to small scale industrial undertaking)                                 | 7,073,798                          | 13,157,898                         |
| Sundry Creditors (due to others)                                                             | 730,238,789                        | 504,907,754                        |
| Investor education and protection fund shall be credited by the following amounts when due:- |                                    |                                    |
| a) Unclaimed Dividends                                                                       | 1,753,780                          | 1,340,349                          |
| Other Liabilities                                                                            | 100,842,196                        | 58,663,511                         |
| Interest accrued but not due                                                                 | 0                                  | 943,156                            |
|                                                                                              | <u>839,908,563</u>                 | <u>579,012,668</u>                 |
| <b>(b) Provisions</b>                                                                        |                                    |                                    |
| For Leave Encashment                                                                         | 4,394,104                          | 10,688,785                         |
| For Proposed Dividend on Equity Shares                                                       | 30,634,380                         | 17,019,100                         |
| For Provision for Fringe Benefit Tax                                                         | 1,549,615                          | 1,549,615                          |
| For Provision for Wealth Tax                                                                 | 331,030                            | 291,030                            |
| For Provision for Gratuity                                                                   | 4,940,904                          | 4,983,238                          |
| For Tax on Dividend                                                                          | 5,206,313                          | 2,892,396                          |
|                                                                                              | <u>47,056,346</u>                  | <u>37,424,164</u>                  |
|                                                                                              | <u>886,964,909</u>                 | <u>616,436,832</u>                 |

**SCHEDULES**

Forming part of the Profit and Loss Account

|                                                                            | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|----------------------------------------------------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : L</b>                                                        |                                    |                                    |
| <b>OTHER INCOME</b>                                                        |                                    |                                    |
| Interest on Fixed Deposits (TDS Rs. 243648/-) (Previous Year Rs. 279275/-) | 1,721,067                          | 1,228,223                          |
| Miscellaneous Income                                                       | 28,539,907                         | 28,846,356                         |
|                                                                            | <u>30,260,974</u>                  | <u>30,074,579</u>                  |
| <b>SCHEDULE : M</b>                                                        |                                    |                                    |
| <b>INCREASE (+) / DECREASE (-) IN STOCK</b>                                |                                    |                                    |
| <b>Opening Stock</b>                                                       |                                    |                                    |
| Finished Goods                                                             | 44,924,787                         | 28,820,002                         |
| Work-In-Process                                                            | 8,120,000                          | 12,022,345                         |
|                                                                            | (A) <u>53,044,787</u>              | <u>40,842,347</u>                  |
| <b>Closing Stock</b>                                                       |                                    |                                    |
| Finished goods                                                             | 44,948,815                         | 44,924,787                         |
| Work-in-Process                                                            | 7,678,364                          | 8,120,000                          |
|                                                                            | (B) <u>52,627,179</u>              | <u>53,044,787</u>                  |
|                                                                            | (B-A) <u>(417,608)</u>             | <u>12,202,440</u>                  |
| <b>SCHEDULE : N</b>                                                        |                                    |                                    |
| <b>RAW MATERIALS CONSUMED</b>                                              |                                    |                                    |
| <b>Opening Stock</b>                                                       | 93,698,315                         | 132,556,644                        |
| Add : Purchases                                                            | 2,247,267,885                      | 2,205,470,640                      |
|                                                                            | <u>2,340,966,200</u>               | <u>2,338,027,284</u>               |
| Less : Closing Stock                                                       | 132,349,078                        | 93,698,315                         |
|                                                                            | <u>2,208,617,122</u>               | <u>2,244,328,969</u>               |

# **SCHEDULES**

Forming part of the Profit and Loss Account

|                                            | As at<br>31st March 2010<br>Rupees | As at<br>31st March 2009<br>Rupees |
|--------------------------------------------|------------------------------------|------------------------------------|
| <b>SCHEDULE : O</b>                        |                                    |                                    |
| <b>MANUFACTURING AND OTHER EXPENSES</b>    |                                    |                                    |
| <b>Manufacturing Expenses</b>              |                                    |                                    |
| Consumption of Stores, Spares and Tools    | 140,211,136                        | 100,312,412                        |
| Power, Fuel and Water Charges              | 576,125,421                        | 608,113,119                        |
| Material Handling Charges                  | 18,324,341                         | 16,262,022                         |
| Excise Duty                                | 129,997,565                        | 193,700,100                        |
| <b>Employees Remuneration and Benefits</b> |                                    |                                    |
| Salaries, Wages, Bonus etc.                | 117,547,263                        | 102,041,102                        |
| Contribution to ESIC and Other Funds       | 9,009,436                          | 7,533,410                          |
| Staff Welfare Expenses                     | 1,832,505                          | 986,109                            |
| <b>Administrative Expenses</b>             |                                    |                                    |
| Insurance                                  | 2,003,983                          | 4,080,398                          |
| Rent                                       | 6,909,334                          | 2,907,880                          |
| Rates and Taxes                            | 1,153,900                          | 937,355                            |
| General Expenses                           | 54,643,052                         | 60,820,725                         |
| <b>Selling and Distribution Expenses</b>   | 232,872,265                        | 244,293,412                        |
| <b>Repairs and Maintenance</b>             |                                    |                                    |
| Machinery                                  | 34,271,803                         | 39,018,542                         |
| Building                                   | 10,665,853                         | 3,279,603                          |
| Others                                     | 4,859,779                          | 4,446,774                          |
| <b>Other Expenses</b>                      |                                    |                                    |
| Directors Sitting Fees                     | 193,000                            | 152,000                            |
| Remuneration to Auditors                   | 650,000                            | 650,000                            |
| Advertisement                              | 204,904                            | 227,028                            |
| Donation                                   | 801,218                            | 158,113                            |
| Loss/(Profit) on Sales of Assets           | 543,701                            | -577,748                           |
| Bad debts written off                      | 691,155                            | 724,319                            |
|                                            | <b>3,083,978</b>                   | <b>1,333,712</b>                   |
|                                            | <b>1,343,511,613</b>               | <b>1,390,066,674</b>               |
| <b>SCHEDULE : P</b>                        |                                    |                                    |
| <b>INTEREST</b>                            |                                    |                                    |
| Interest on                                |                                    |                                    |
| (a) Term Loans                             | 24,950,121                         | 42,568,008                         |
| (b) Bank                                   | 43,373,848                         | 48,657,148                         |
| (c) Others                                 | 17,814,672                         | 9,580,300                          |
|                                            | <b>86,138,642</b>                  | <b>100,805,456</b>                 |

**SCHEDULE: Q****NOTES TO ACCOUNTS****1. Significant Accounting Policies:****(a) Accounting Convention:**

The financial statements are prepared under the historical cost convention on an accrual basis of accounting with the generally accepted accounting principles in India, Accounting Standards issued by the Institute of Chartered Accountants of India as applicable and the relevant provisions of the Companies Act, 1956.

**(b) Fixed Assets:**

All fixed Assets are stated at cost, net of Cenvat/Service Tax/VAT, less accumulated depreciation. Expenditure related to and incurred during implementation of project is included under Capital Work-in-Progress and the same is capitalized by allocating to various fixed assets on completion of the project.

**(c) Depreciation:**

- i) Depreciation is provided on the straight Line Method at the rates specified in Schedule XIV to the Companies Act, 1956. Depreciation on assets added/disposed off during the year is provided on pro-rata basis with reference to the date of addition/disposal. Buildings erected on land taken on a short lease (i.e. up to 10 years) are written off equally over the lease period of the land.
- ii) Intangible Assets are amortized over their useful life not exceeding Three years.

**(d) Investments:**

Investments are stated at cost. Provision of diminution in value of long-term investment is made only if such a decline is other than temporary in the opinion of the management.

**(e) Foreign Currency Transactions:**

- (i) Transactions denominated in foreign currencies are normally recorded at the exchange rates prevailing at the time of the transaction.
- (ii) Monetary items denominated in foreign currencies at year end and not covered by forward exchange contracts are translated at year end exchange rates and those covered by forward exchange contracts are translated at the rate ruling at the date of transaction as increased or decreased by the proportionate difference between the forward rate and exchange rate on the date of transaction, such difference having been recognized over the life of the contract.
- (iii) Any income or expenses on account of exchange difference on translation is recognized in the profit and loss account except in cases where they relate to acquisition of fixed assets in which case they are adjusted to the carrying cost of such assets.

**(f) Inventories:**

- (i) Inventories are valued at the lower of cost, computed on moving average basis and estimated net realizable value, after providing due allowance for defective and obsolete items, wherever necessary, based on the past experience of the Company.
- (ii) Goods in Transit are stated at cost.
- (iii) Finished goods and work-in-progress include costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

**(g) Employee Benefits:**

- i. Short-term employee benefits are recognized as an expense at the undiscounted amount in the Profit and Loss Account of the year in which the related service is rendered.
- ii. The eligible employees of the Company are entitled to receive benefits under the Provident fund, a defined contribution plan in which both the employee and the Company make monthly contributions at a specified percentage of the covered employee's salary (currently 12% of employee's salary). The contributions as specified under the law are paid to the Regional Provident Fund Commissioner and the Central Provident Fund under the Pension Scheme. The Company recognizes such contributions as expenses of the year in which the liability is incurred.
- iii. The Company has an obligation towards gratuity, a defined benefit retirement plan covering eligible employees. The plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 days salary payable for each completed year of service. Vesting occurs upon completion of five years of service. The plan is managed by a trust and the fund is invested with Life Insurance Corporation of India under its Group Gratuity Scheme. The Company makes annual contributions to gratuity fund and the Company recognizes the liability for gratuity benefits payable in future based on an independent actuarial valuation.

- iv. The Company provides for the encashment of leave or leave with pay subject to certain rules. The employees are entitled to accumulate leave for availment as well as encashment subject to the rules. As per the regular past practice followed by the employees, it is not expected that the entire accumulated leave shall be encashed or availed by the employees during the next twelve months and accordingly the benefit is treated as long defined benefit. The liability is provided for based on the number of days of unutilized leave at the Balance Sheet date on the basis of an independent actuarial valuation.

**(h) Borrowing Cost:**

Borrowing costs that are attributable to the acquisition or construction of qualifying assets are capitalized as part of the cost of such assets. All other borrowing costs are charged to revenue.

**(i) Treatment of expenditure during construction period:**

Expenditure during construction period is included under Capital Work-in-Progress and the same is allocated to respective Fixed Assets on the completion of its construction.

**(j) Revenue Recognition:**

Sale of goods is recognized at the point of dispatch of finished goods to customers. Sales include amounts recovered towards Excise Duty but are net of Sales Tax.

**(k) Taxes on Income.**

Provision for current Income Tax is made on the basis of estimated taxable income for the year, in accordance with the Income Tax Act, 1961.

Deferred Tax resulting from timing differences between book and tax profits is accounted for under the liability method at the current rate of tax, to the extent that the timing differences are expected to crystallize. The deferred tax asset is recognized and carried forward only to the extent that there is a reasonable certainty that the assets will be adjusted in future.

Fringe Benefit tax provision is made in accordance with the provisions of the Income Tax Act, 1961.

**(l) Cenvat Credit:**

Excise Cenvat credit in respect of capital assets is adjusted against excise duty liability arising subsequent to such credit.

**(m) Contingent Liabilities:**

Contingent Liabilities are not provided for in the accounts but are disclosed separately.

**(n) Preliminary Expenses:**

Preliminary Expenses are written off over a period of ten years.

**2. Contingent Liabilities:**

- (a) Guarantees and counter guarantees given by the Company on behalf of group companies Rs. NIL Lacs (Previous year Rs. 140 Lacs).
- (b) Excise duty demands and penalties – Rs.17,05,071 (Previous Year Rs.16,82,460) (Against old cases to the tune of Rs.16.82 lacs, payments have already been made under protest and under appeal and hence no contingent liability exists).
- (c) Claims against the Company not acknowledged as debts – Rs333807/- (Previous year - Rs. NIL).
- (d) Letter of Credit outstanding Rs.2,962.11 lacs (Previous year Rs. 2,237.59 lacs).
- (e) Customs penalties on Imports – Rs. NIL (Previous year Rs.NIL).

- 3. Estimated amount of Contracts remaining to be executed on capital account and not provided for (net of advances) Rs.4767.96 lacs (Previous Year Rs.797.77 lacs).

## 4. Defined benefits plans – As per actuarial valuation as on 31st March, 2010.

| Sr. No.  | Particulars                                                                       | Gratuity Benefits |              | Compensated absences |              |
|----------|-----------------------------------------------------------------------------------|-------------------|--------------|----------------------|--------------|
|          |                                                                                   | 31.03.2010        | 31.03.2009   | 31.03.2010           | 31.03.2009   |
| <b>1</b> | <b>Components of employer expenses</b>                                            |                   |              |                      |              |
|          | Current service cost                                                              | 2,043,855         | 1,541,249    | 639,767              | 2,216,449    |
|          | Interest cost                                                                     | 934,515           | 840,602      | 855,103              | 793,497      |
|          | Expected return on plan assets                                                    | (617,218)         | (562,427)    | NA                   | NA           |
|          | Actuarial losses / (gains)                                                        | (1,726,378)       | 736,812      | (7,490,445)          | 302,617      |
|          | Total expenses / (income) recognized in the Profit and Loss Account               | 634,775           | 2,556,236    | (5,995,575)          | 3,312,563    |
| <b>2</b> | <b>Actual contribution and benefits paid during the year</b>                      |                   |              |                      |              |
|          | Actual benefits paid                                                              | 712,624           | 806,988      | 299,106              | 652,078      |
|          | Actual contribution                                                               | 677,109           | 741,288      | NA                   | NA           |
| <b>3</b> | <b>Net asset / (liability) recognized in Balance Sheet as at 31st March, 2010</b> |                   |              |                      |              |
|          | Present Value of Defined Benefit Obligation                                       | (12,220,812)      | (11,681,443) | (4,394,104)          | (10,688,785) |
|          | Fair value of plan assets                                                         | 7,279,908         | 6,698,205    | Nil                  | Nil          |
|          | Net asset/(liability) recognized in Balance Sheet                                 | (4,940,904)       | (4,983,238)  | (4,394,104)          | (10,688,785) |
| <b>4</b> | <b>Change in Defined Benefit Obligations (DBO)</b>                                |                   |              |                      |              |
|          | during the year ended 31st March, 2010.                                           |                   |              |                      |              |
|          | Present value of DBO at beginning of year                                         | 11,681,443        | 9,369,768    | 10,688,785           | 8,028,300    |
|          | Current Service cost                                                              | 2,043,855         | 1,541,249    | 639,767              | 2,216,449    |
|          | Interest cost                                                                     | 934,515           | 840,602      | 855,103              | 793,497      |
|          | Actuarial (gain)/ losses                                                          | (1,726,378)       | 736,812      | (7,490,445)          | 302,617      |
|          | Benefits paid                                                                     | (712,624)         | (806,988)    | (299,106)            | (652,078)    |
|          | Present Value of DBO at the end of year                                           | 12,220,812        | 11,681,443   | 4,394,104            | 10,688,785   |
| <b>5</b> | <b>Change in Fair Value of Assets during the year ended 31st March, 2010</b>      |                   |              |                      |              |
|          | Plan Assets at beginning of year                                                  | 6,698,205         | 6,201,478    | NA                   | NA           |
|          | Expected return on plan assets                                                    | 617,218           | 562,427      | NA                   | NA           |
|          | Actual Company contributions                                                      | 677,109           | 741,288      | NA                   | NA           |
|          | Benefits paid                                                                     | (712,624)         | (806,988)    | NA                   | NA           |
|          | Plan assets at the end of year                                                    | 7,279,908         | 6,698,205    | NA                   | NA           |
| <b>6</b> | <b>Actuarial Assumptions</b>                                                      |                   |              |                      |              |
|          | Discount Rate                                                                     | 8%                | 8%           | 8%                   | 8%           |
|          | Expected Return on plan assets                                                    | 9%                | 9%           | NA                   | NA           |
|          | Salary escalation                                                                 | 7.25%             | 8%           | 7.25%                | 8%           |

**A** The planned asset is represented by investment made under the Group Gratuity Scheme operated by Life Insurance Corporation of India.

**B Notes To Accounts**

- During the year, consequent upon a change in the actuarial assumptions, there is a reversal of the provision required to be made in the valuation of Gratuity and Leave Encashment benefits to the tune of Rs. 63,37,015. This has been disclosed in the Profit & Loss Account under the head--Excess Provision Written Back.

5. The deferred tax liability as at 31st March 2010 comprise of the following:

|                                                                                                        | 31st March, 2010<br>(Rupees) | 31st March, 2009<br>(Rupees) |
|--------------------------------------------------------------------------------------------------------|------------------------------|------------------------------|
| <b>Deferred Tax Liability</b>                                                                          |                              |                              |
| Fixed Assets excess net block over written down value as per the provisions of the Income Tax Act 1961 | 48,61,45,723                 | 48,84,59,497                 |
|                                                                                                        | <u>48,61,45,723</u>          | <u>48,84,59,497</u>          |
| <b>Deferred Tax Assets</b>                                                                             |                              |                              |
| Disallowance under Income Tax Act 1961                                                                 | 27,50,402                    | 50,64,192                    |
| Difference of opening liability as per revised AS-15                                                   | <u>0</u>                     | <u>0</u>                     |
|                                                                                                        | 27,50,402                    | 50,64,192                    |
|                                                                                                        | 48,33,95,321                 | 48,33,95,305                 |
| Provision for deferred tax (net)                                                                       | <u>16,43,06,064</u>          | <u>16,43,06,064</u>          |

Note: leave four line spaces here.

6. **Earnings Per Share:**

|                                                                            | 31st March, 2010    | 31st March, 2009 |
|----------------------------------------------------------------------------|---------------------|------------------|
| (a) (a) Weighted average number of equity shares of Rs. 10 each            |                     |                  |
| (i) Number of shares at the beginning of the year                          | 1,70,19,100         | 1,70,19,100      |
| (ii) Number of shares at the end of the year                               | 1,70,19,100         | 1,70,19,100      |
| (iii) Weighted average number of equity shares outstanding during the year | 1,70,19,100         | 1,70,19,100      |
| (b) Net Profit after tax and after prior year adjustments (Rs.)            | 21,58,80,877        | 8,86,36,586      |
| (c) Profit attributable to equity share holders (Rs.)                      | <u>21,58,80,877</u> | 8,86,36,586      |
| Basic and diluted earnings per share (in Rupees)                           | <u>12.68</u>        | 5.21             |

7. There are no Micro, Small and Medium Enterprises, to whom the Companies owes dues, which are outstanding for more than 45 days as at the Balance Sheet date. Further, the company has neither paid nor payable any interest to any Micro, Small and Medium Enterprises on the Balance Sheet date. The above information has been determined to the extent such parties have been identified on the basis of information available with the company. This has been relied upon by the auditors.
8. The names of the Small Scale Undertakings to whom the Company owes a sum exceeding Rs.1.00 lac outstanding for more than 30 days as on 31st March 2010 are: Prakash Steelage Ltd, Bhavik Enterprises. The Information regarding Small Scale Industrial Undertakings has been determined to the extent such parties have been identified on the basis of information available with the company and relied upon by the auditors.
9. Advances recoverable in cash or kind or value to be received includes an amount of Rs.55.00 lacs short term advances made not bearing any interest.
10. The Company's Income Tax assessment has been completed up to A.Y.2006-07. Tax Liabilities and interest in respect thereof demanded by the Income Tax Department has been paid. However in terms of search and seizure operations u/s 132 of Income Tax Act, 1961 conducted during July, 2009, revised returns have been filed in response to notices received u/s 153A of the Income Tax Act, 1961 in respect of six Assessment years from 2004-05 to 2009-10. The company has admitted additional income of Rs. 761.80 lacs for the current year (previous year Rs. 250 lacs). The said amounts have been shown under exceptional Items in the profit & Loss account. Pending further proceedings, additional provision for income tax of Rs. 258.94 lacs has been made in the accounts in respect of the said additional income.

11. Sundry Debtors, Sundry Creditors, Unsecured Loans and Loans and Advances balances are subject to confirmation and reconciliation.
12. Sundry Creditors include a sum of Rs.5,34,92,952 (Previous Year Rs.27,81,836) payable for Capital Goods.
13. Segment Reporting:

The Company operates in Single Business Segment of "Manufacturing of Paper Boards & Newsprint". Therefore, the Company is of the view that the disclosure requirement of Accounting Standard AS-17 issued by the Institute of Chartered Accountants of India is not applicable to the Company.

14. The Company has imported Capital Goods under 'Export Promotion Capital Goods' Scheme for which the Company has an export obligation of Rs.46,02,25,488 (previous year Rs.5,91,57,326).
15. Disclosure in respect of related parties pursuant to Accounting Standard AS-18:
  - (a) Related parties with whom transactions have been taken place during the year:

**Associates:**

Gayatrishakti Paper & Boards Limited  
Kherani Paper Mills Private Limited

**Key Management Personnel & Relatives:**

Shri N. R. Agarwal  
Shri R. N. Agarwal  
Shri Raunak Agarwal

**Relatives of Directors**

Smt. R. R. Agarwal

- (b) During the year the following transactions were carried out with the related parties in the ordinary course of business:

|                                                            | 31st March, 2010<br>(Rs. In lacs) | 31st March, 2009<br>(Rs. In lacs) |
|------------------------------------------------------------|-----------------------------------|-----------------------------------|
| (i) <b>Purchase of Fixed Assets</b>                        |                                   |                                   |
| Associates                                                 | 0.00                              | 0.00                              |
| (ii) <b>Unsecured Advances given</b>                       |                                   |                                   |
| Associates                                                 | 0.00                              | 0.00                              |
| (iii) <b>Unsecured Deposits received</b>                   |                                   |                                   |
| Key Management Personnel & Relatives                       | 346.00                            | 323.52                            |
| (iv) <b>Remuneration paid</b>                              |                                   |                                   |
| Key Management Personnel                                   | 85.09                             | 66.60                             |
| (v) <b>Sitting Fees Paid</b>                               |                                   |                                   |
| Key Management Personnel                                   | 0.10                              | 0.10                              |
| (vi) <b>Car Lease Rent</b>                                 | 18.00                             | 0.00                              |
| (vii) <b>Unsecured Deposits Outstanding Credit Balance</b> |                                   |                                   |
| Key Management Personnel & Relatives                       | 338.35                            | 377.39                            |
| (vii) <b>Guarantees provided for Associates</b>            | 0.00                              | 140.00                            |

- (c) Loans and Advances in the nature of Loans given to Associates:

Loans and Advances in the nature of Loans

Maximum balance

Nil

**Notes:**

1. Loans to Employees as per Company's policy are not considered.
2. Related party relationship is as identified by the Company and relied upon by the auditors.

**16. Auditor's Remuneration**

|               | 31st March, 2010<br>(Rupees) | 31st March, 2009<br>(Rupees) |
|---------------|------------------------------|------------------------------|
| Audit Fees    | 5,00,000                     | 5,00,000                     |
| Tax Audit     | 1,00,000                     | 1,00,000                     |
| Other matters | 50,000                       | 50,000                       |
| Service Tax*  | 66,950                       | 67,362                       |
| <b>Total</b>  | <b>7,16,950</b>              | <b>7,17,362</b>              |

\*Eligible for CENVAT Credit

**17. (i) Management Remuneration under Section 198 of the Companies Act 1956:**

|                                                           | 31st March, 2010<br>(Rs. In lacs) | 31st March, 2009<br>(Rs. In lacs) |
|-----------------------------------------------------------|-----------------------------------|-----------------------------------|
| To the Executive Chairman and the Managing Director & CEO |                                   |                                   |
| (a) Remuneration and contribution to funds                | 71,22,620                         | 61,18,720                         |
| (b) Perquisites                                           | 8,29,200                          | 2,50,000                          |
| <b>Total</b>                                              | <b>79,51,820</b>                  | <b>63,68,720</b>                  |

**(ii) Computation of Net Profit as per Section 349 read with Section 309(5) of the Companies Act, 1956.**

|                                                                                         | 31st March, 2010<br>(Rupees) | 31st March, 2009<br>(Rupees) |
|-----------------------------------------------------------------------------------------|------------------------------|------------------------------|
| Profit Before Tax and after prior period adjustment as per Profit and Loss Account      | 28,73,80,877                 | 11,77,86,143                 |
| Add: Depreciation Charged in the Accounts                                               | 8,08,53,356                  | 8,09,69,777                  |
| Loss on sale of assets as per Section 349 of the Companies Act, 1956                    | 543,701                      | 3,74,912                     |
| Directors' remuneration (including Sitting Fees)                                        | 81,44,820                    | 65,20,720                    |
| Commission payable to Directors                                                         | 30,00,000                    | -                            |
|                                                                                         | 37,99,22,754                 | 20,56,51,552                 |
| Less: Depreciation under Section 350                                                    | 8,08,53,356                  | 8,09,69,777                  |
| Gain on Sale of Assets                                                                  | 5165                         | 9,52,660                     |
|                                                                                         | 8,08,58,521                  | 8,19,22,437                  |
| <b>Net Profit</b>                                                                       | <b>29,90,64,233</b>          | <b>12,37,29,115</b>          |
| Overall ceiling on Managerial remuneration under Section 198 of the Companies Act, 1956 | 29,906,423                   | 1,23,72,912                  |

**18. Capital Work-in-progress includes advance:**
**Paid towards**

|                   | 31st March,2010<br>(Rupees) | 31st March,2009<br>(Rupees) |
|-------------------|-----------------------------|-----------------------------|
| Building          | 19,52,00,221                | 5,32,273                    |
| Expenses          | 0.00                        | 0.00                        |
| Plant & Machinery | 32,73,86,582                | 2,75,74,045                 |
| Advance for Land  | 1,15,07,440                 | 43,68,708                   |
| <b>Others</b>     | <b>6,54,602</b>             | <b>0.00</b>                 |
| <b>Total</b>      | <b>53,47,48,844</b>         | <b>3,24,75,026</b>          |

**19. Details of capacity:**

| Product       | Duplex Board              |                       | Newsprint                 |                      |
|---------------|---------------------------|-----------------------|---------------------------|----------------------|
|               | Capacity (Annual in M.T.) |                       | Capacity (Annual in M.T.) |                      |
|               | Licensed                  | Installed             | Licensed                  | Installed            |
| This Year     | N.A.                      | 112800 TPA (3 shifts) | N.A                       | 36000 TPA (3 shifts) |
| Previous year | N.A.                      | 112800 TPA (3 shifts) | N.A                       | 36000 TPA (3 shifts) |

**Notes:**

- Licensed capacity is not applicable in view of the Company's products having been de-licensed as per the licensing policy of the Government of India.
- Installed capacity is as certified by the management and accepted by auditors, being technical matter.

**20. Additional information pursuant to the Provisions 3 and 4 of Part II of Schedule VI of the Companies Act, 1956:**
**A. Information regarding Raw Materials Consumed:**

|                                | Waste Paper   |                 | Chemicals, Dyes |                |
|--------------------------------|---------------|-----------------|-----------------|----------------|
|                                | Qty. MT.      | Value Rs.       | Qty. MT.        | Value Rs.      |
| Indian                         | 113,032.016   | 111,91,09,866   | (-)             | 40,10,64,885   |
|                                | (122,570.838) | (126,41,03,018) | (-)             | (30,95,75,279) |
| Imported (including High Seas) | 61,017.205    | 63,28,57,789    | (-)             | 5,55,84,583    |
|                                | (43,816.662)  | (54,77,89,876)  | (-)             | (12,28,60,796) |
| Total                          | 174,049.221   | 175,19,67,655   | (-)             | 45,66,49,468   |
|                                | (166,387.500) | (181,18,92,894) | (-)             | (43,24,36,075) |

**B. Information regarding Exports, imports and other Matters:**

|                                                                                                                                                                                                                                                                                                                                                                                                      |                                      |                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|------------------------------|
| <b>1. Remittance in foreign currency on account of dividend:</b>                                                                                                                                                                                                                                                                                                                                     |                                      |                              |
| The Company has paid dividend in respect of shares held by Non-Resident Shareholders on repatriation basis. This inter-alia includes portfolio investment and direct investment, where the amount is also credited to Non Resident External (NRE A/c.). The exact amount of dividend remitted in foreign currency cannot be ascertained. The total amount remittable in this respect is given below: |                                      |                              |
| Year to which the dividend relates                                                                                                                                                                                                                                                                                                                                                                   | <b>2008-2009</b>                     | 2007-2008                    |
| Number of non resident shareholders                                                                                                                                                                                                                                                                                                                                                                  | <b>56</b>                            | 24                           |
| Number of shares held by them                                                                                                                                                                                                                                                                                                                                                                        | <b>24,960</b>                        | 21,269                       |
| Amount of dividend (Rupees)                                                                                                                                                                                                                                                                                                                                                                          | <b>24,960</b>                        | 25,523                       |
|                                                                                                                                                                                                                                                                                                                                                                                                      | <b>31st March, 2010<br/>(Rupees)</b> | 31st March, 2009<br>(Rupees) |
| <b>2. Earnings in Foreign Exchange</b>                                                                                                                                                                                                                                                                                                                                                               |                                      |                              |
| F.O.B. Value of Goods Exported                                                                                                                                                                                                                                                                                                                                                                       | <b>4,38,85,202</b>                   | 12,26,82,976                 |
| <b>3. C.I.F. Value of imports</b>                                                                                                                                                                                                                                                                                                                                                                    |                                      |                              |
| (i) Raw Materials                                                                                                                                                                                                                                                                                                                                                                                    | <b>69,56,36,712</b>                  | 36,87,02,220                 |
| (ii) Stores, Components & parts                                                                                                                                                                                                                                                                                                                                                                      | <b>1,25,08,105</b>                   | 1,69,23,752                  |
| (iii) Capital Goods                                                                                                                                                                                                                                                                                                                                                                                  | <b>11,72,91,566</b>                  | 0                            |
| <b>4. Expenditure in Foreign Currency</b>                                                                                                                                                                                                                                                                                                                                                            |                                      |                              |
| Travelling                                                                                                                                                                                                                                                                                                                                                                                           | <b>15,53,752</b>                     | 14,00,685                    |
| <b>5. Value of Imported and Indigenous Raw Materials, Stores and Spares consumed:</b>                                                                                                                                                                                                                                                                                                                |                                      |                              |
| <b>Raw Materials:</b>                                                                                                                                                                                                                                                                                                                                                                                |                                      |                              |
| Imported                                                                                                                                                                                                                                                                                                                                                                                             | <b>68,84,42,371</b>                  | 67,06,50,672                 |
| Indigenously obtained                                                                                                                                                                                                                                                                                                                                                                                | <b>1,52,01,74,751</b>                | 157,36,78,297                |
|                                                                                                                                                                                                                                                                                                                                                                                                      | <b><u>2,20,86,17,122</u></b>         | <u>224,43,28,969</u>         |
| <b>Stores and Spares:</b>                                                                                                                                                                                                                                                                                                                                                                            |                                      |                              |
| Imported                                                                                                                                                                                                                                                                                                                                                                                             | <b>1,42,43,464</b>                   | 1,01,43,602                  |
| Indigenously obtained                                                                                                                                                                                                                                                                                                                                                                                | <b>12,59,67,672</b>                  | 9,01,68,810                  |
|                                                                                                                                                                                                                                                                                                                                                                                                      | <b><u>14,02,11,136</u></b>           | <u>10,03,12,412</u>          |
| <b>6. Percentage of Total Consumption</b>                                                                                                                                                                                                                                                                                                                                                            |                                      |                              |
| <b>Raw Materials:</b>                                                                                                                                                                                                                                                                                                                                                                                |                                      |                              |
| Imported                                                                                                                                                                                                                                                                                                                                                                                             | <b>31%</b>                           | 30%                          |
| Indigenously obtained                                                                                                                                                                                                                                                                                                                                                                                | <b>69%</b>                           | 70%                          |
| <b>Stores and Spares:</b>                                                                                                                                                                                                                                                                                                                                                                            |                                      |                              |
| Imported                                                                                                                                                                                                                                                                                                                                                                                             | <b>10%</b>                           | 10%                          |
| Indigenously obtained                                                                                                                                                                                                                                                                                                                                                                                | <b>90%</b>                           | 90%                          |

**C. Information in regard to Opening and Closing Stocks, Production and Sales of Finished Goods**

|               | DUPLEX BOARD |                |              |                | NEWSPRINT    |                |              |                |
|---------------|--------------|----------------|--------------|----------------|--------------|----------------|--------------|----------------|
|               | 2009-2010    |                | 2008-2009    |                | 2009-2010    |                | 2008-2009    |                |
|               | Qty<br>(M.T) | Value<br>(Rs.) | Qty<br>(M.T) | Value<br>(Rs.) | Qty<br>(M.T) | Value<br>(Rs.) | Qty<br>(M.T) | Value<br>(Rs.) |
| Opening Stock | 1206         | 26,418,087     | 1109         | 23786956       | 928          | 18,506,700     | 261          | 5033046        |
| Production    | 126059       | -              | 120602       | -              | 31972        | -              | 32997        | -              |
| *Sales        | 125991       | 3,171,134,965  | 120528       | 3036251183     | 32330        | 714,387,222    | 32330        | 830825122      |
| Closing Stock | 1274         | 33,640,765     | 1206         | 26418087       | 570          | 11,308,050     | 928          | 18506700       |

\*excludes sales of traded goods

**TRADED GOODS**

|               | 2009-2010   |              | 2008-2009   |              |
|---------------|-------------|--------------|-------------|--------------|
|               | Qty.<br>MT. | Value<br>Rs. | Qty.<br>MT. | Value<br>Rs. |
| Opening Stock | 0           | 0            | 0           | 0            |
| Purchase      | 0           | 0            | 858         | 38,21,342    |
| Sales         | 0           | 86,19,041    | 858         | 38,44,846    |
| Closing Stock | 0           | 0            | 0           | 0            |

22. Balance Sheet abstract and Company's general business profile as required in terms of the Part IV of the Schedule VI of the Companies Act, 1956 is attached herewith.
23. Previous year's figures have been regrouped, reworked and reclassified wherever necessary.

As per our attached report of even date

For **CHATURVEDI & PARTNERS**

Chartered Accountants

Firm's Registration No. 307068 E

**G. VENKATAKRISHNAN**

Partner

Membership No.11255

Mumbai

29th July 2010

For and on behalf of the Board of Directors

**R N AGARWAL**

Chairman Managing Director & CEO

**S N CHATURVEDI**

Director

**PRIYANKA AGRAWAL**

Company Secretary

# **BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE**

(In terms of Amendment to Schedule VI - Part IV)

|                                                                                                 |   |                             |                                         |
|-------------------------------------------------------------------------------------------------|---|-----------------------------|-----------------------------------------|
| <b>I Registration Details</b>                                                                   |   |                             |                                         |
| Registration No.                                                                                | : | 11-133365                   | State Code : 11                         |
| Balance Sheet Date                                                                              | : | 31st March, 2010            |                                         |
| <b>II Capital Raised during the year</b>                                                        |   |                             |                                         |
| Public Issue                                                                                    | : | Nil                         | Rights Issue : Nil                      |
| Bonus Issue                                                                                     | : | Nil                         | Private Placement (Equity Shares) : Nil |
| <b>III Position of Mobilisation and Deployment of funds</b> (Amount in Rs.)                     |   |                             |                                         |
| Total Liabilities                                                                               | : | 1772720302                  | Total Assets : 1772720302               |
| <b>Sources of Funds</b>                                                                         |   | <b>Application of Funds</b> |                                         |
| Paid-up capital                                                                                 | : | 170191000                   | Net Fixed Assets : 1661341920           |
| Reserves and Surplus                                                                            | : | 510,161,016                 | Investment : 1847860                    |
| Secured loans                                                                                   | : | 882,284,068                 | Net Current Assets : 109530522          |
| Unsecured Loans                                                                                 | : | 45,778,154                  | Misc. Expenditure : 0                   |
| Deferred Tax Liabilities                                                                        | : | 164,306,064                 | Accumulated Losses : 0                  |
| <b>IV Performance of Company</b>                                                                |   |                             |                                         |
| Turnover                                                                                        | : | 3894141228                  | Total Expenditure : 3719120733          |
| Profit Before Tax                                                                               | : | 281043862                   | Profit after Tax : 209543862            |
| Earnings per share in Rs                                                                        | : | 12.68                       | Dividend Rate % : 18%                   |
| <b>V Generic Names of Three Principle Products/ Services of Company</b> (as per monetary terms) |   |                             |                                         |
| Item Code no (ITC Code)                                                                         | : | 480523                      |                                         |
| Product Description                                                                             | : | Duplex Board                |                                         |
| Item Code no (ITC Code)                                                                         | : | 480100                      |                                         |
| Product Description                                                                             | : | News Print                  |                                         |
| Item Code no (ITC Code)                                                                         | : | 480200                      |                                         |
| Product Description                                                                             | : | Writing and Printing        |                                         |

|                                         |                                             |
|-----------------------------------------|---------------------------------------------|
| As per our attached report of even date | For and on behalf of the Board of Directors |
| For <b>CHATURVEDI &amp; PARTNERS</b>    | <b>R N AGARWAL</b>                          |
| Chartered Accountants                   | Chairman Managing Director & CEO            |
| Firm's Registration No. 307068 E        |                                             |
| <b>G. VENKATAKRISHNAN</b>               | <b>S N CHATURVEDI</b>                       |
| Partner                                 | Director                                    |
| Membership No.11255                     |                                             |
| Mumbai                                  | <b>PRIYANKA AGRAWAL</b>                     |
| 29th July 2010                          | Company Secretary                           |

## N R AGARWAL INDUSTRIES LIMITED

Regd.Office: 415-418, Janki Centre, 4<sup>th</sup> Floor, 29, Shah Industrial Estate, Off: Veera Desai Road, Andheri (W), Mumbai – 400 053.

### FORM OF PROXY

I/We \_\_\_\_\_  
of \_\_\_\_\_  
being members) of the above named company, hereby appoint \_\_\_\_\_  
of \_\_\_\_\_ or failing him \_\_\_\_\_ of  
\_\_\_\_\_ as my/our proxy to vote for me/us on my/our behalf at the  
SEVENTEENTH ANNUAL GENERAL MEETING of the Company to be held at GMS Community Centre Hall, Sitladevi Complex, 1<sup>st</sup> Floor,  
D. N. Nagar, Opp. Indian Oil Nagar on Link Road, Andheri (West), Mumbai - 400 053, on Thursday, September 16, 2010.

Signed this \_\_\_\_\_ day of \_\_\_\_\_, 2010.

|                |  |
|----------------|--|
| DP Id*         |  |
| Client Id*     |  |
| Reg. Folio No. |  |

Signature .....

Affix Re. 1/-  
Revenue  
Stamp

\*Applicable if shares are held in Electronic Form.

**Note:** This form in order to be effective should be duly stamped, completed and signed and must be deposited at the Registered Office of the Company, not less than 48 hours before the meeting.

## N R AGARWAL INDUSTRIES LIMITED

Regd.Office: 415-418, Janki Centre, 4<sup>th</sup> Floor, 29, Shah Industrial Estate, Off: Veera Desai Road, Andheri (W), Mumbai – 400 053

### ATTENDANCE SLIP

|               |  |
|---------------|--|
| DP Id*        |  |
| Client Id*    |  |
| Reg.Folio No. |  |

Name & Address of the Registered Shareholder

Name of the Member \_\_\_\_\_ Signature \_\_\_\_\_

Name of the Proxy Holder \_\_\_\_\_ Signature \_\_\_\_\_

I certify that I am a registered shareholder/proxy for the registered shareholder of the Company.

**NOTES:** 1. Please fill this attendance slip and hand it over at the Entrance of the hall.  
2. Member/proxy holder desiring to attend the meeting should bring his/her copy of the Annual Report for reference at the meeting.





### **WASTE. REDEFINED.**

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We believe in maintaining the equilibrium of the environment and so we strive to give back to it all that we can. We plant trees, maintain strict adherence to the pollution norms, recycle water and residue.

Throughout our products, activities and services, we endeavor to minimise any adverse impact on the environment by means of pollution prevention, energy and water conservation. In this way, cost savings, increased operational efficiency and improved quality of products and services are achieved as well as a safe environment maintained for the community as a whole.

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